



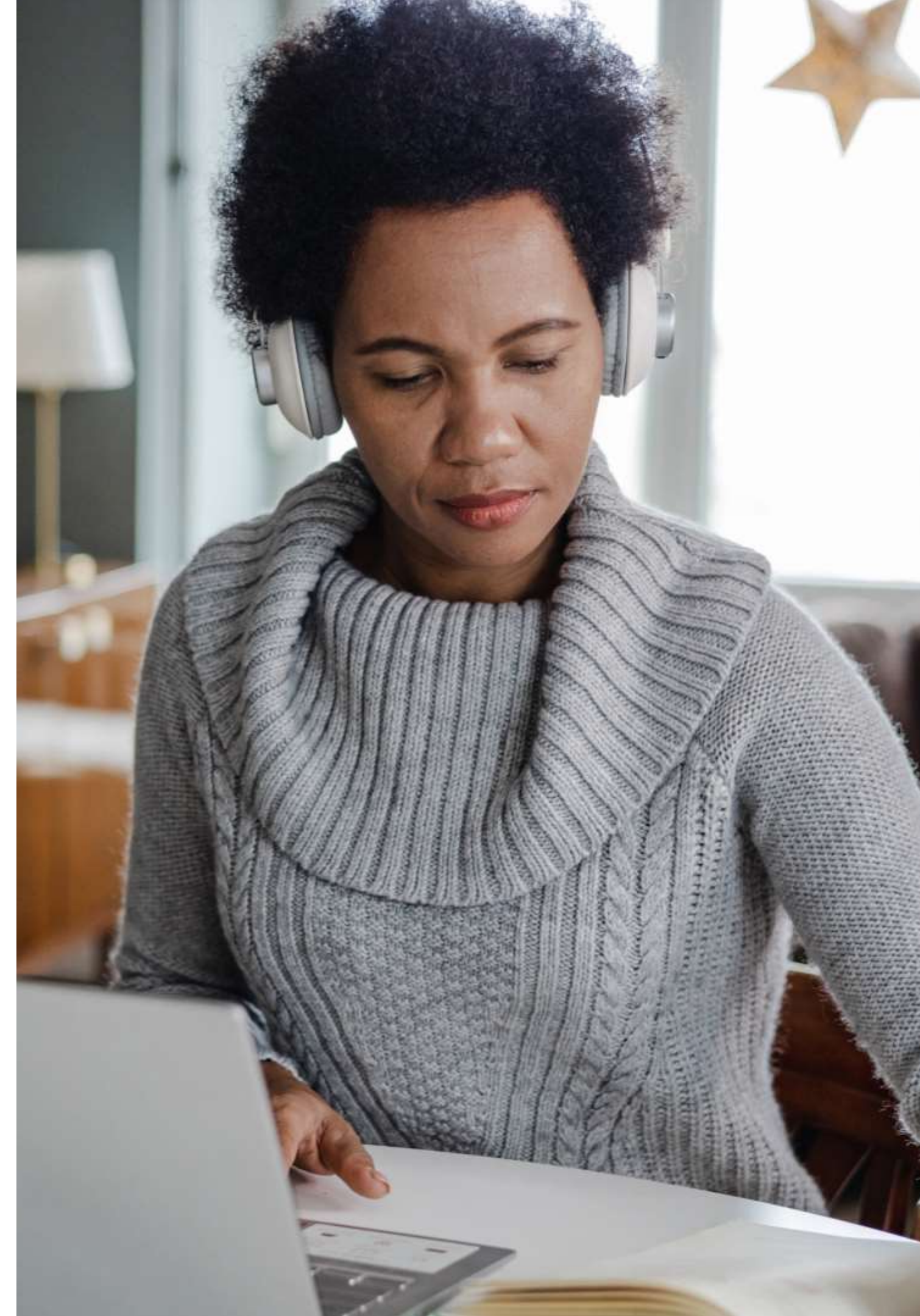
Open Banking Discovery Interviews

What users need and want when it comes to data sharing between financial institutions

HCD Research
July 2024

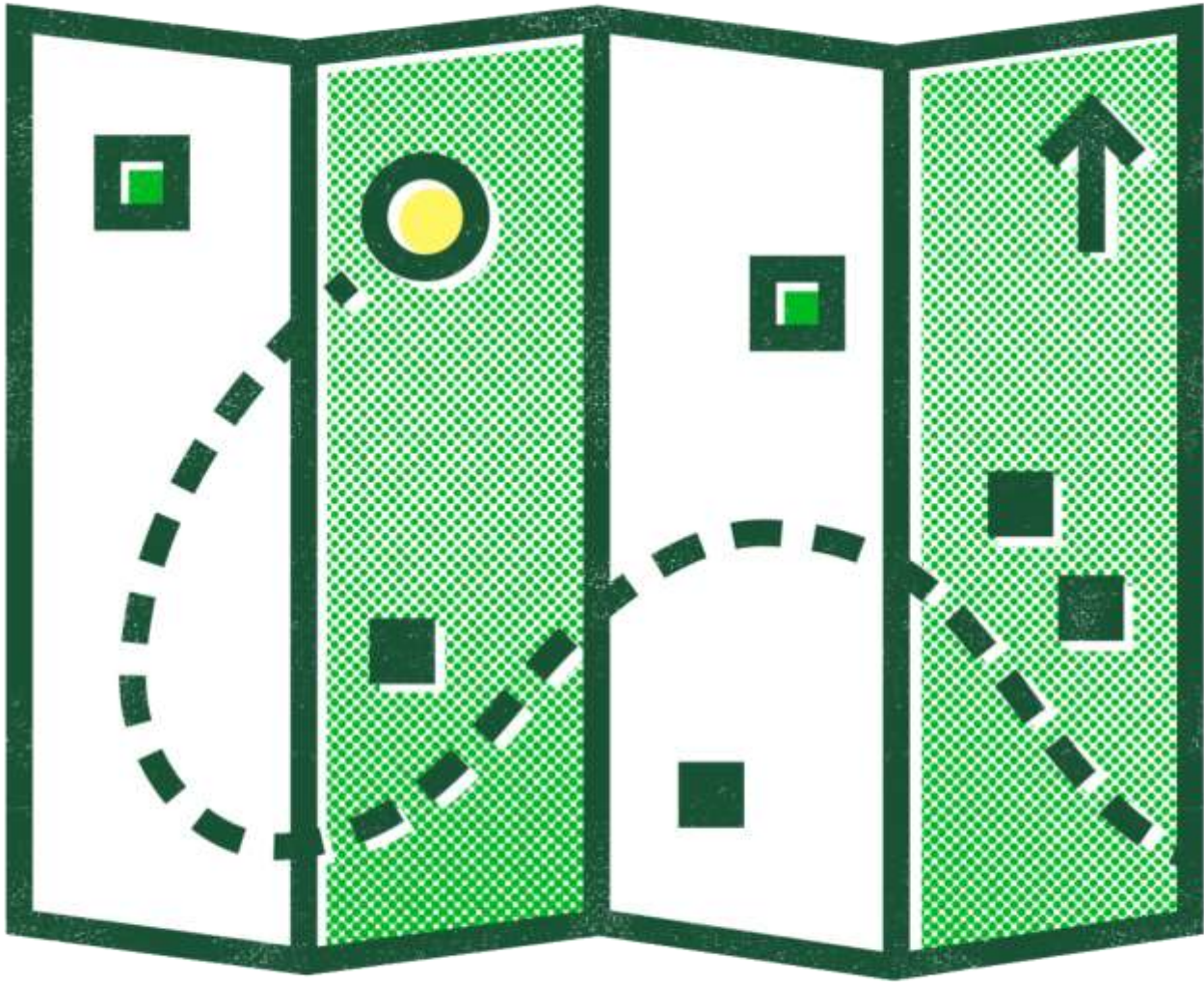
Contributors
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Agenda

01	Our approach
01.1	Context Gathering
01.2	Method
02	Insights
★ 02.1	Managing money across multiple FIs
★ 02.2	Understanding user needs
02.3	How people adopt a technology or tool
02.4	Data sharing attitudes and beliefs
02.5	Sharing data with banks and fintech companies
02.6	What's the difference Canada and India



A group of diverse people are gathered in a modern office space, looking at a large whiteboard. The whiteboard is covered with sticky notes and handwritten notes. One sticky note says 'SAIL RACHA BEACH', another says 'ZOEING'. The handwritten notes include '000.000', 'hotel', 'alcohol', 'pool', and 'Shopping'. The people are dressed in casual business attire. The room has a brick wall on the left and a large window on the right. There are laptops and a bowl of fruit on a table in the foreground.

Our Approach

How we did the research

Context gathering

Before we kicked off, we learned about existing Open Banking concepts and the business needs

We used these three inputs to direct our primary research:

Context gathering

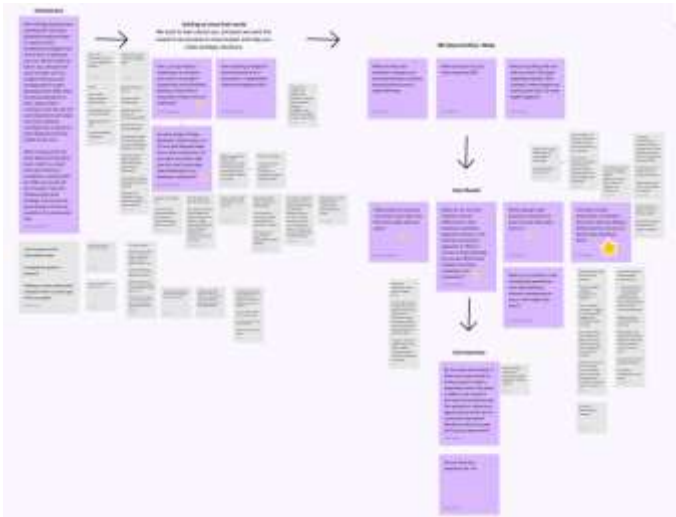
Task Force Workshops

With Journey UX Design Strategists



SME Interviews

With key LOB decision-makers



Secondary Research

Collecting national survey data from 3 geographies



Task Force

Context gathering

We consulted with 8 **HCD Strategists** and **Design Leads** working in the Journeys to decide how Open Banking could be leveraged to help users

SIJ

Breena Gormley

RMB

Ana Hulshof

TDW

Robert Tu

**US Credit
Cards**

Kate Winbaum

EAJ

Ekaterina Nikiforova
Sue McCloskey

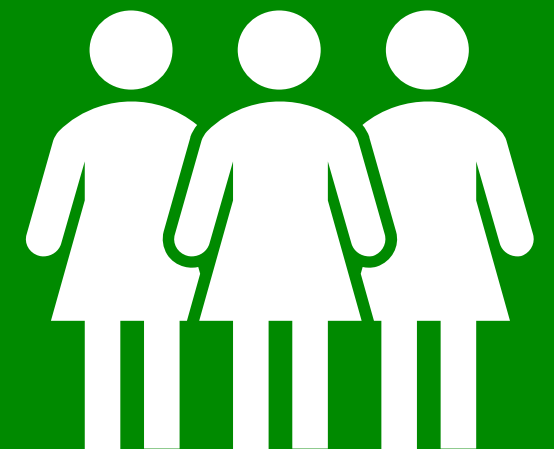
HOJ

Meagan Terrel

PRJ

Susan Juvet

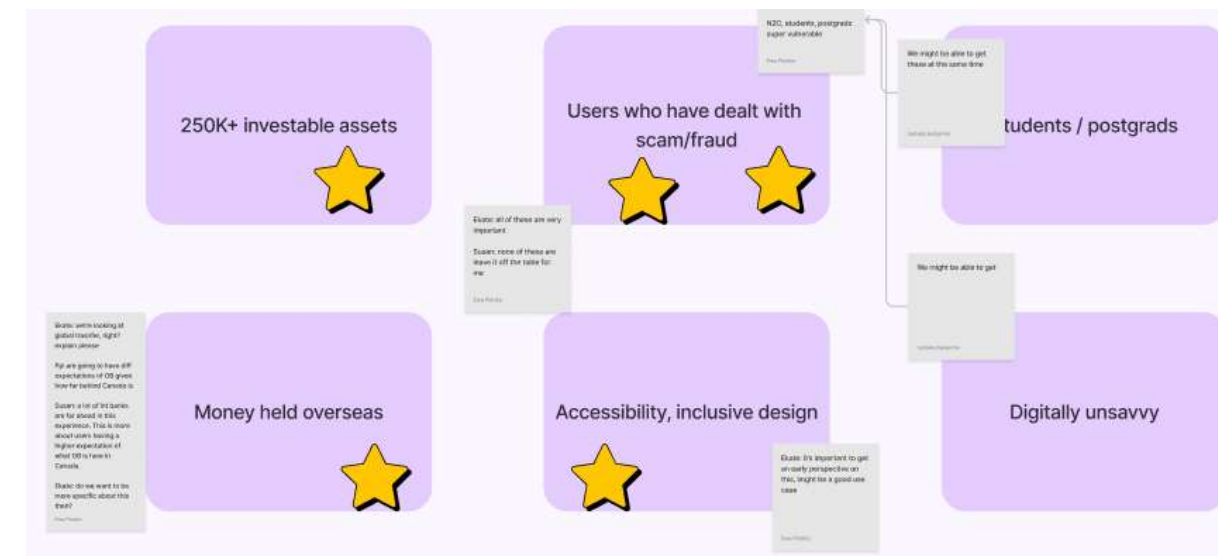
The Task Force consulted on **strategic directions** for Open Banking, **knowledge gaps**, **research questions**, and **segments** to target



Task Force

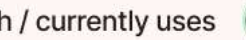
Our Task Force participated in a series of four workshops including one about key user groups:

has this product...	with an FI...	with multiple FIs...
Everyday chequing and savings		★
Credit cards		★
Investments (DI)		★
Investments (Retail or Wealth)	★	
Mortgage	★	
Loans (Car Loans, ULOCs, HELOCs, etc)		
Registered plans		★



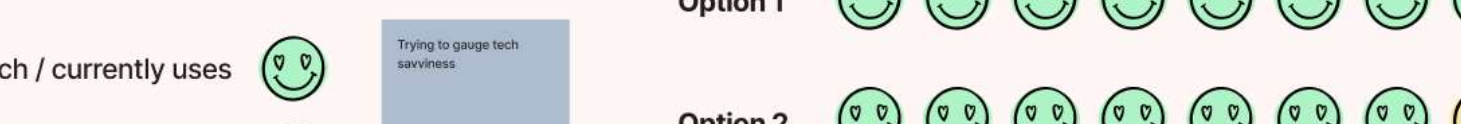
Has used Fintech / currently uses 

Never used Fintech 



Trying to gauge tech savviness

Extra Planks





Task Force

Context gathering

Key takeaways from our Task Force:

What we assume

People don't really care about the security of their data

At least, not when they're getting to perform tasks more conveniently. The Task Force hypothesized that people don't think about data sharing when they're having a good experience.

Knowledge gaps

When would we lose their trust

Where do people draw the line when it comes to unsavory data sharing practices?

What's worth the trade-off

What kind of experience is worth the risk of sharing more data with TD?

Priority groups

Their focus right now

N2C (EAJ, PRJ, SIJ, TDW, HOJ)
Students and postgrads (EAJ)
First time homebuyers (HOJ)
New & experienced investors (TDW)

Open Banking priorities

Fintech users and non-users
All ages (more Gen Z & Millennial)
Range in investable assets
Disadvantaged groups
Money held overseas



Subject Matter Experts

Context gathering

We interviewed 9 experts and key decision-makers for Open Banking:

Digital Performance (US)

Todd Copeland (SVP)

Credit Cards (CA)

Rinelda Nanushi (Product Group Owner)

TD Direct Investing (CA)

Matthew Ladzik (Product Manager)

EAJ

Kimberley Menezes (PO, Digital Buying)

Credit Risk (CA)

Ali Mohsin (Senior Manager)

Small Business Banking (US)

Nolan Glynn (Senior Manager)

Credit Cards (CA)

Isabel Giraldo (AVP, Data & Analytics)

Wealth Advice Journey

Parik Malik (Senior Manager)

Small Business Banking (CA)

Ira Weisman (PO, Data as a Product)

We asked our Subject Matter Experts how their line of business was **strategically planning for Open Banking**, who are their **users**, and **knowledge gaps** when it came to what users need and want

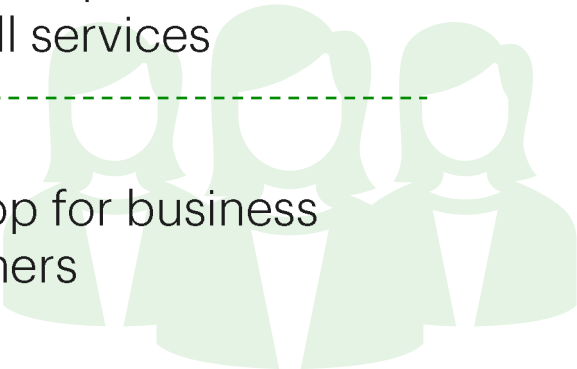


Subject Matter Experts

Context gathering

Here's what we learned from our 1:1 interviews:

The LOB	Key segments	The need	The concepts
Credit cards (US & CA)	N2C with credit outside Canada	Smoother approval processes Better loyalty programs	More information on customers Loyalty programs to bring customers in / push other products
EAJ	Youth N2C with credit outside Canada	People without a strong credit history in Canada need help grow their wealth	Enable smoother authentication, funding, safe advice
Direct Investing	Mass Affluent	Help people invest strategically by showing them the right insights, advice, and products	Easier cash transfer to TD Insights about optimizing funds Viewing hard to borrow OFI stocks Holistic view of portfolio Loyalty programs, e.g., OneTD
Wealth advice	High net worth	Deepening relationships with clients so we can offer the right products, investing or otherwise	Efficient wealth referrals Setting customers up with advice across all services
Small business banking	Business owners with a secondary card holder	Small business owners need to do their own admin, be their own accountants	A one-stop shop for business owners



Our Subject Matter Experts had an idea of what customers need.
We made it our mission to **test their hypotheses** and **validate their assumptions** with research

Strategic segments

Method

Here is what our Task Force and Subject Matter Experts were calling out:

Segment	Task Force	Subject Matter Experts	Relevant concepts
 N2C from India	People who are 2-4 years into the country are more likely to have products with multiple FIs and are less entrenched with any of them, making them an opportunity group for OB	Credit cards We need to support people who don't have credit history in Canada EAJ We need to authenticate them more efficiently so we can grow market share	Budgeting tools Bill payments Borrowing help
 CAD Mass Market	Open Banking can help people apply for loans, access the right advice and guidance, understand spending and saving habits, and more	EAJ People who are just starting out and need help with the approval process; students, postgrads, etc.; will benefit from an easier approval process	Application help Budgeting tools Credit card shopping
 CAD Mass Affluent	The business is thinking more seriously about how to create tools for HNW and those who will become HNW soon	TD DI This group is actively growing their wealth and doing it themselves, so they could use insights, tips & tricks, and help managing money across platforms	Direct Investing tools
 American	In the US there is a longer tradition of data sharing, attitudes towards data sharing may differ in the US vs. in Canda	Digital Performance Canada and the US have very different landscapes. In the US there is more data aggregation. Anticipating these differences is key. TD DI The US is already exploring connected banking for investing. How is it looking?	Budgeting tools Bill payments Direct Investing tools Credit card shopping Borrowing help

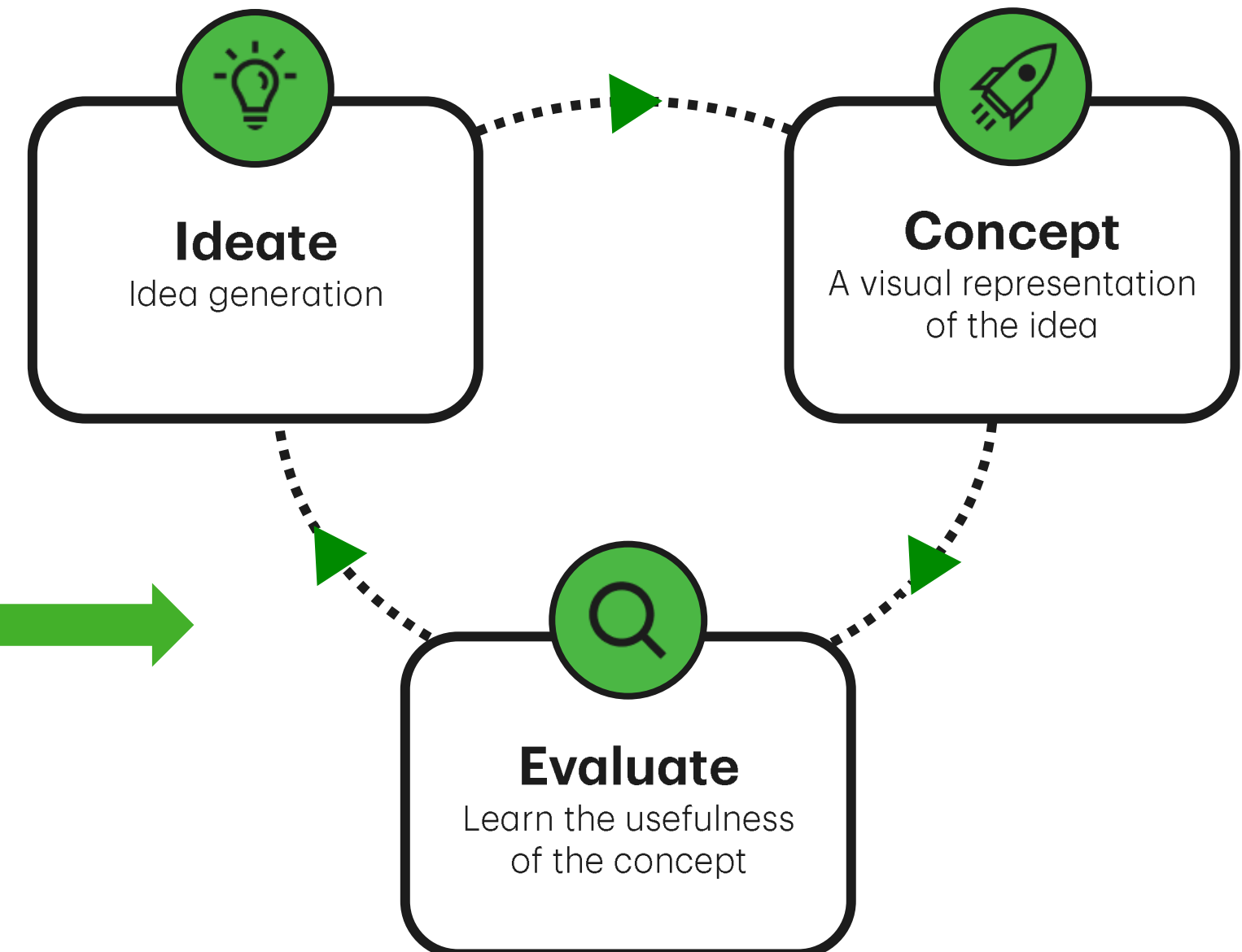
Method

Research plan, question, and participants

The HCD Process

Method

We conduct primary user research at the discovery phase. Lines of business can leverage what we find to better meet user needs with their Open Banking concepts.



Our research methodology

20 remote video interviews from 4 participant groups, 60 minutes each

Research Questions

Method

Our three broad questions for this round of research:

Question 1

What **needs** do users of different ages, income, and risk appetite, with multiple FIs have that can **be solved by linking data to TD?**

What's missing now / what **pain points** can be solved with Open Banking?

Question 2

In what situations would users of different ages, income, and risk appetite decide that the **risk is worth the benefit of sharing personal data** given the service they're using?

Question 3

What notable differences are there between users of different ages, income, and risk appetite in **how they evaluate the risks of sharing data with banks?**

Participants

Method

Our participants had qualities that helped us validate the assumptions of different parts of the business:



5 N2C

From India



5 Mass Market (CA)

Investable assets under 100K



5 Mass Affluent (CA)

Investable assets over 100K



5 American

From around the US

Another breakdown | With our sample we were also able to test hypotheses about age influencing tech adoption:



4 Gen Z



9 Millennial



5 Gen X



2 Boomer

Characteristics

Method

HCD ensures its participants have relevant behaviors and experiences to speak to the concepts we want to test. To that end, we recruited for these characteristics:



20 chequing and savings accounts at multiple FIs



17 using or have used a fintech company



12 previously have dealt with fraud

More behaviors | to support individual LOBs:



19 credit card users

Journey | PRJ



12 self-directed investors, **4** trading at least once per month

Journey | TD DI



3 applied for a mortgage within the last year

Journey | HOJ

Planned phase 2

Method

A second planned round of research will focus on business owners:

SB owners Canada (5)



SB owners USA (5)



We're dedicating **another round of research** to learning as much as we can about these key segments



Insights

Managing money across multiple FIs

How people stay on top of managing money across multiple FIs, important moments, and key pain points

The understanding that Canadians have 2 FIs **may not be true**

Surveys find that Canadians on average have 2 FIs¹.

Many of our participants under-reported how many FIs they deal with. We suspect Canadians have a specific mental model of what counts as a financial institution that doesn't include, for example, PC Financial. We noticed that people don't report having a PC Optimum card until we press for more details.

The typical Canadian customer may not be sharing their complete financial picture with us. As we continue to plan for an Open Banking future, we may uncover more diversification than Canadians are currently reporting.

¹Online Survey on Financial Data Sharing and Financial Security (Government of Canada, 2021)

Why add another bank

We uncovered a range of reasons why people seek out an additional financial institution:



Searching for something specific

Almost half of our participants sought out other institutions because they were **looking for a specific products**.



Word of mouth and media

About half mentioned they opened accounts outside of their primary institutions on **someone else's advice**.



Wanting to diversify financial institutions

Having multiple institutions helped them feel secure because they felt they needed to avoid **having their eggs in one basket**.



Denied something

Some people started at a secondary institutions because they were **denied a loan at their primary bank**.



Looking for a deal

People look outside their primary institution to **avoid fees** they felt were unnecessary



Wanting more separation of funds

A few participants noted that they **preferred the level of separation** which they accomplished by having money in different institutions.

Key Segments



Previous research suggests N2C people who have been here 2-4 years diversify by seeking out products at other institutions. Our study revealed a similar pattern.

New to Canada participants were heavily influenced by word of mouth, but also chose to diversify based on missing product needs not met by their first Financial Institution.

Staying on top of their money

How people manage accounts across multiple institutions:

Checking less



Funneling everything through one FI

People channel all their payments from one main account and have partial overview of their total money in and out.



Goals that feel distant

Registered accounts like RRSPs only get attention if people have active goals they are working towards

Checking more



People who have experienced fraud

A few participants mentioned cases where their monitoring habits shifted because of fraud incidences, prompting a need for a better overview of their financial situation.



Active (vs. passive) investors track their activities more

Active investors check trading platforms frequently whereas passive investors won't go to the effort of logging in

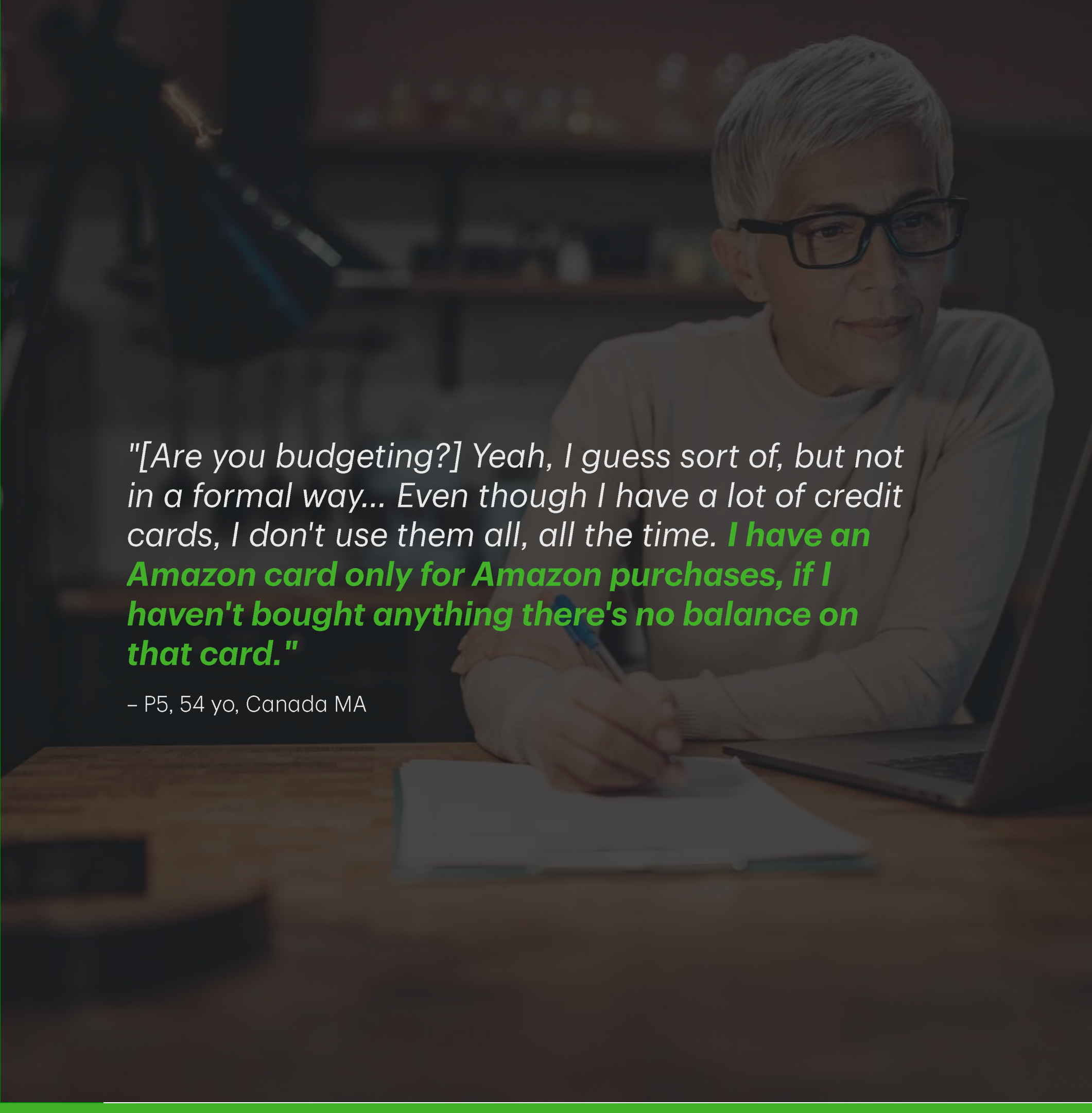
Segments



Gen Z and Millennials will pay less attention to registered accounts (e.g., RRSPs) because they feel far off in the future. If those accounts are housed outside their main FI, they may lose out on opportunities to plan and monitor appropriately.

Insight

People's solution is to managing multiple accounts involves **limiting their activities to one institution**, which in turn limits their ability to discover opportunities to grow their wealth



*"[Are you budgeting?] Yeah, I guess sort of, but not in a formal way... Even though I have a lot of credit cards, I don't use them all, all the time. **I have an Amazon card only for Amazon purchases, if I haven't bought anything there's no balance on that card.**"*

– P5, 54 yo, Canada MA

Pain points

Nearly half of participants indicated no pain points regarding having multiple institutions. However, many people experienced minor frustrations:



It's just inconvenient

Though it's not a major pain point, it's **inconvenient to log into several apps**



One-stop overview

People want **an overview of their accounts on the same screen** so they could make more informed decisions.



Moving money is a problem

Many people find that the biggest hurdle is **moving money between institutions**. They were concerned about delays and missing funds.



No easy way to share with household

People feel they have **no easy way to have an overview of the entire household's financial picture**. They use manual techniques like spreadsheets to achieve this.



Confusing applications

People felt it was **difficult to get approved for credit and loan** products (ex. Mortgages) because institutions were unable to see their full financial picture. There was also uncertainty about why some institutions approved and some rejected their applications.



Unable to consolidate

Participants recalled **moments where they wanted to consolidate or simply move an account to a different institution** but found that transferring was too difficult to bother.

Key Segments



N2C customers may have trouble getting loans if they have less credit in Canada.



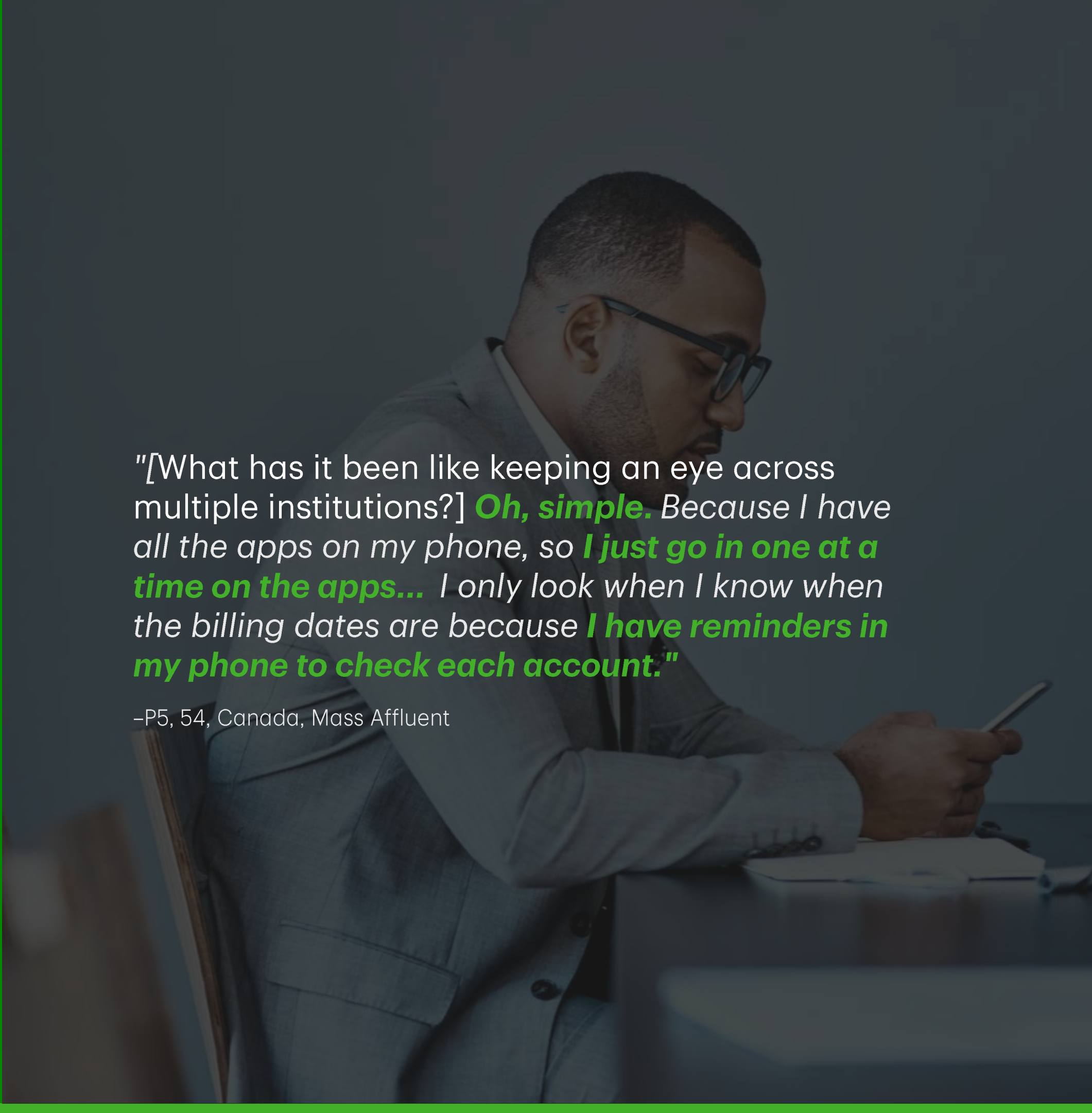
Mass market customers are more likely to face scenarios where they need money sooner than later, and delays can be catastrophic.



People who financially plan with members of their household (e.g., in a later life stage) may need more support planning joint finances.

Watch-out

People may not need or expect a one-stop shop. Most of our participants said that logging into several apps is **inconvenient but not difficult** and they are willing to continue this habit.

A man with short dark hair and glasses, wearing a light-colored suit jacket over a white shirt, is seated at a desk. He is looking down at a smartphone held in his right hand. On the desk, there are some papers and a pen. The background is slightly blurred, showing what appears to be an office setting.

"[What has it been like keeping an eye across multiple institutions?] **Oh, simple.** Because I have all the apps on my phone, so **I just go in one at a time on the apps...** I only look when I know when the billing dates are because **I have reminders in my phone to check each account.**"

—P5, 54, Canada, Mass Affluent

Understanding user needs

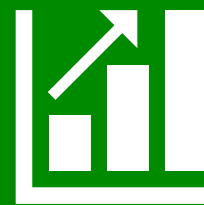
How well do peoples' needs align with our plans for Open Banking



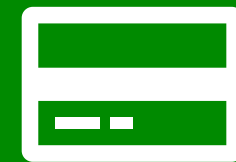
Budgeting



Paying bills



Direct
Investing



Credit cards



Borrowing

An aim of our research was to validate that the **Open Banking concepts Journeys are exploring match user needs.** This section outlines user needs and how they match with what we plan to build.

User needs and concepts (pt 1)

We collected user needs so we could **validate** Open Banking concepts lines of business are considering. Here is an overview of what we learned:

Task



Budgeting

Unmet needs

Smart insights about spending habits
Convenient calculations
Financial birds-eye view

Open Banking concept

A one-stop shop for managing spending and saving that connects accounts across institutions

SIJ | HCD contact Breena Gormley



Paying bills

Help managing bill payments across multiple FIs

A centralized hub enabling customers to see and plan around different bill payment schedules

This is a new concept idea generated by our primary research



Direct Investing

Having more investing options within a single self-directed platform
Managing multiple investments in a way that is painless

Enable people to monitor their entire portfolio in one smooth experience, help people move their money cross-platform

TD DI | HCD contact Robert Tu, business contact Matthew Ladzik

User needs and concepts (pt 2)

We collected user needs so we could **validate** Open Banking concepts lines of business are considering. Here is an overview of what we learned:

Task



Credit cards

Unmet needs

Credit card shopping experience that takes the guess work out of maximizing rewards / minimizing fees

Open Banking concept

Loyalty program that connects people to more cards, more products (One TD)

PRJ | HCD contact Susan Juvet, business contact Rinelda Nanushi

Customers may want a smarter loyalty program with more customization than what we're planning for them



Borrowing

Information in one place for quicker decisions from lenders
More transparency in how banks vary in the approval process
One-stop shop to help customers manage multiple mortgages

Information in one place for speedier applications

PRJ | HCD contact Meagan Terrel

A surprise finding: customers may be less interested in speed than in exposure to multiple lenders at a time

TD may not be thinking about these needs yet



Budgeting

People who aren't using budgeting apps rely on strategies and tools

Their challenges

Budgeting is a lot of work

"[Budgeting is] something I've always wanted to do, but it's a lot of time, a lot of headache... **just sitting down and doing it, I'm not a math person. It sounds awful.**" –P20, 36 yo, USA MM

"[My spreadsheet] is doing the job, I started it when I was travelling... **I wish it linked to some of my bank account so I didn't have to put in certain things or guess certain things.**" –P4, 49 yo, Canada MA

Tools and strategies

Spreadsheets and PDFs help customers organize

"It's not an app, it's a PDF. Simpli's. They're called Steph and Dan. **I found it on Tik Tok. It works.**" –P1, 22 yo, MM

Bank tools

"Bank of America has good tools tell you on average how much you're spending... one thing that's not good about it, if it's a credit card, it says, 'hey you just spent money on credit cards... **it doesn't have the data to break it down.**" –P17, 51 yo, USA MM

Unmet needs

Smart insights about spending habits, convenient calculations, a financial overview

"Ideally I would have a dashboard that gives me all the investments, what is my **financial health today, what can you do better with** this, or is there an avenue where you could invest... Sometimes you just put purchases off but that dashboard would give me a **birds eye view** of how I'm doing financially, a snapshot, and **my decision-making becomes that much easier.**" –P16, 42 yo, Canada MM

Understanding needs

Key Segments



The US is ahead when it comes to budgeting apps that link accounts across financial institutions. People will have specific expectations of how bank tools for budgeting should look and feel.



Both Mass Affluent and Mass Market segments use budgets to keep track of their spending and their saving.

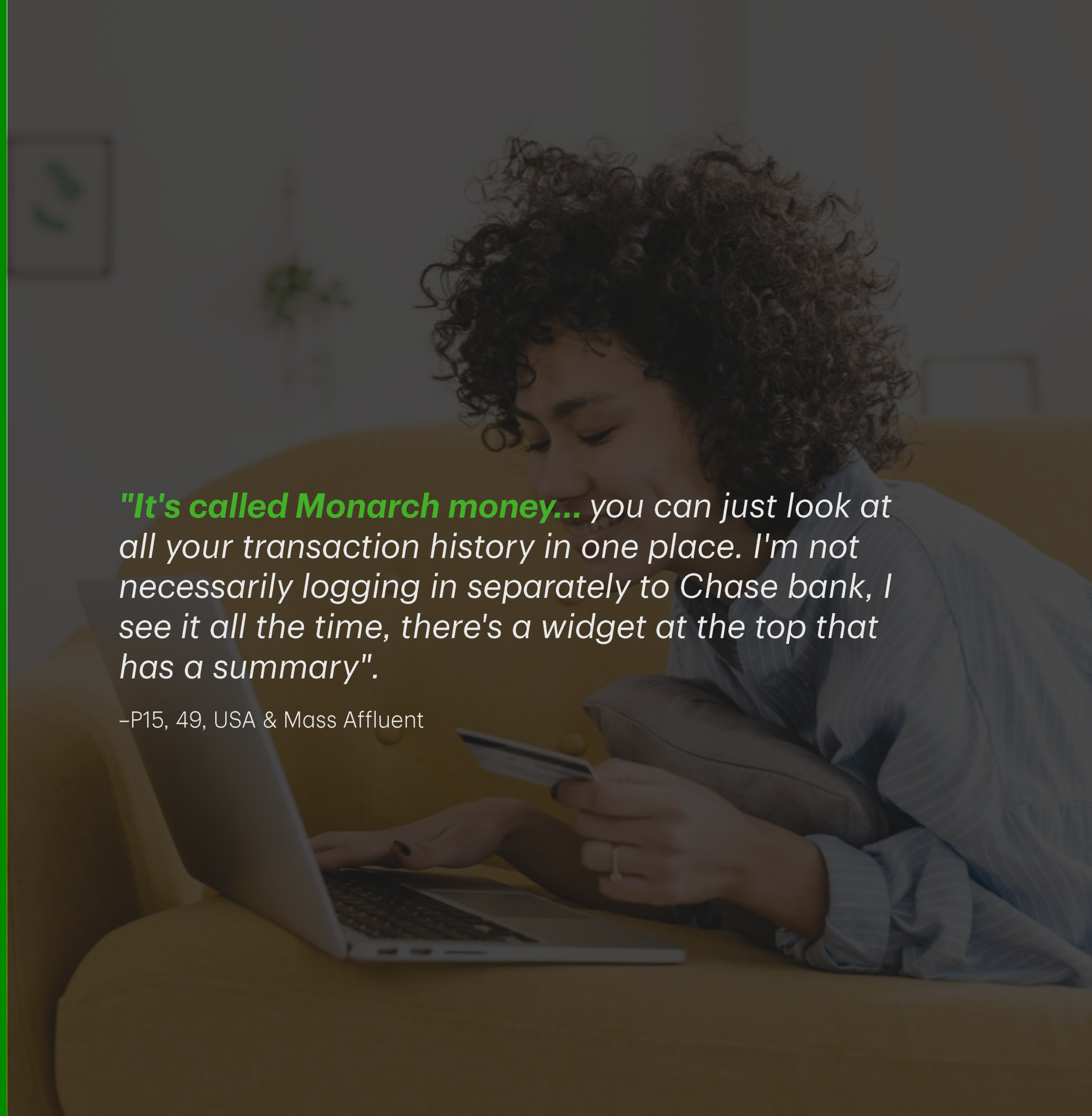
Insight

Americans already use budgeting tools that connect accounts across their institutions so their expectations will be anchored to these tools



*"It's called **Monarch money**... you can just look at all your transaction history in one place. I'm not necessarily logging in separately to Chase bank, I see it all the time, there's a widget at the top that has a summary".*

–P15, 49, USA & Mass Affluent



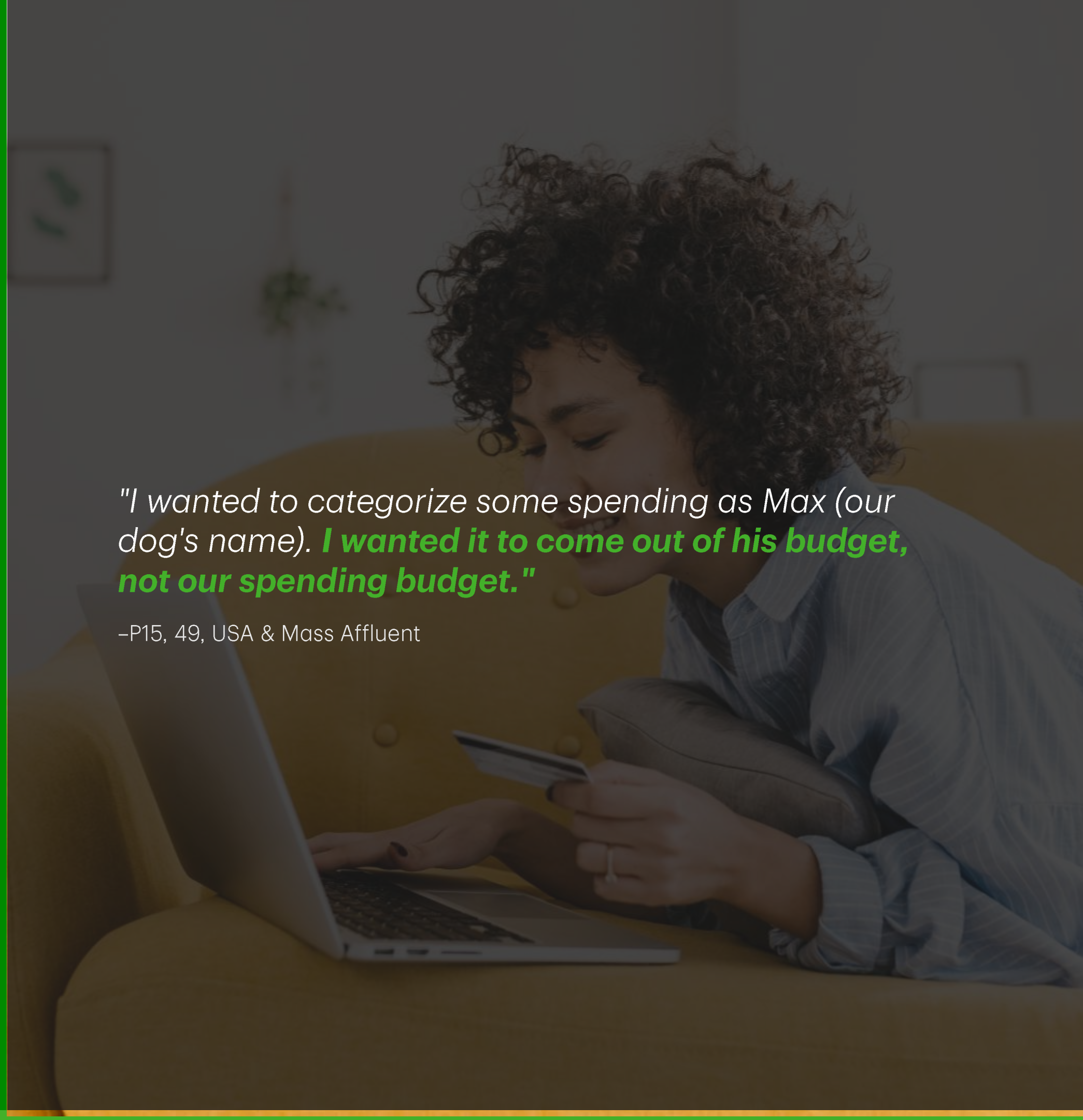
Insight

Americans value budgeting tools that offer customizable spending categories



"I wanted to categorize some spending as Max (our dog's name). **I wanted it to come out of his budget, not our spending budget.**"

—P15, 49, USA & Mass Affluent



Opportunity

Banks have the edge on fintech companies for people who don't want to **add yet another app**



*"I don't want to have a bunch of apps so I had to open all this stuff. I would prefer it if TD or Tangerine had this stuff so that I could still just use **those two apps which I use all the time anyway.** Though I like opening apps, it gets to be just overkill sometimes."*

—P13, 27 yo, Canada MM



Watch-out

People want to connect accounts for budgeting purposes but will **abandon experiences that make it too difficult**



*"I still write down stuff on paper because that's just my generation. I've used some apps like Mint where you can combine everything... **some accounts you couldn't attach to it and I didn't want to keep going through the firewalls.**"*

–P15, 49, USA & Mass Affluent



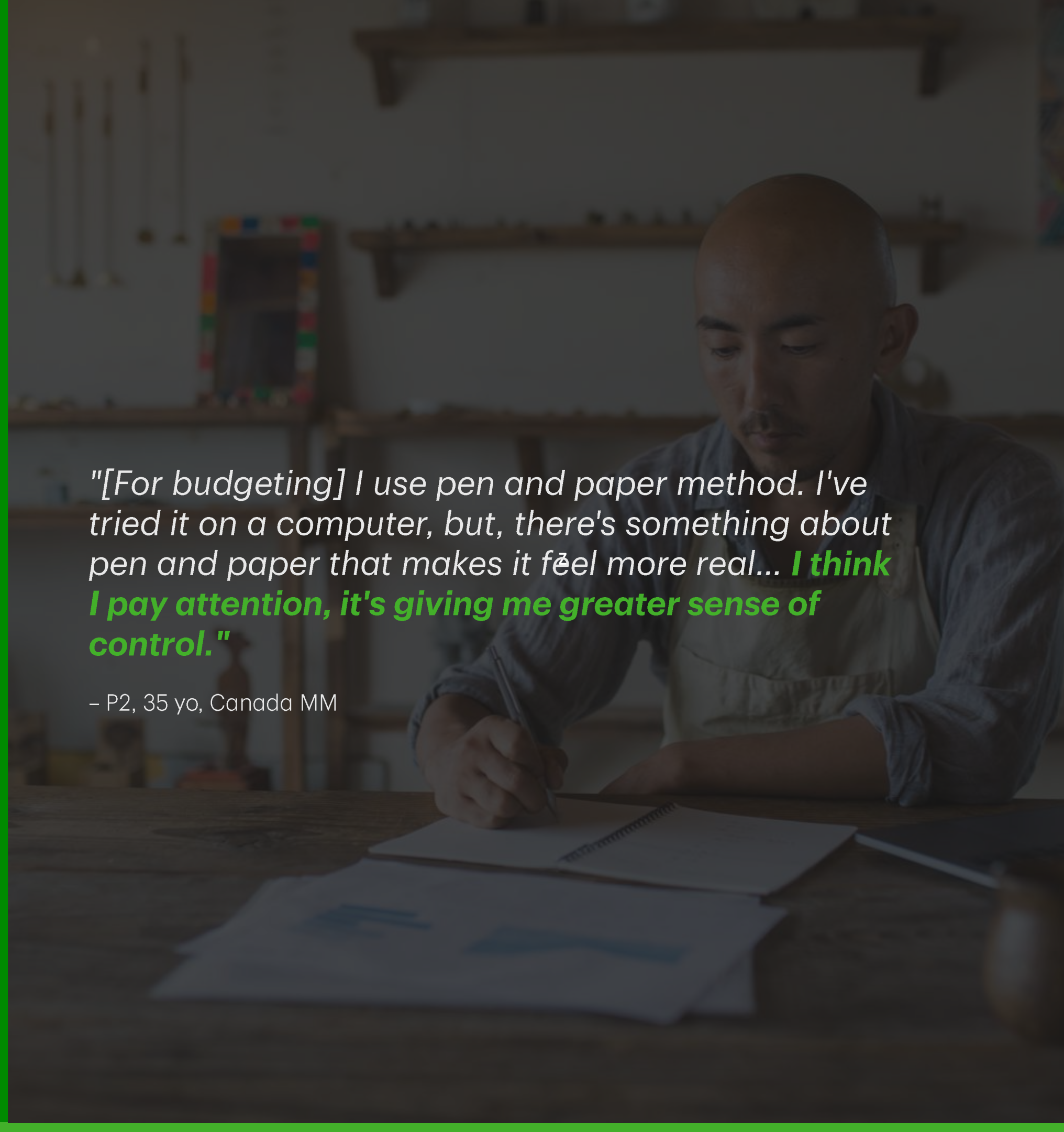
Watch-out

Though automatic tools can be more efficient, rituals involving pen and paper **make finances feel more tangible**



*"[For budgeting] I use pen and paper method. I've tried it on a computer, but, there's something about pen and paper that makes it feel more real... **I think I pay attention, it's giving me greater sense of control.**"*

– P2, 35 yo, Canada MM





Bill payments

People with multiple FIs must keep track of different bill payment schedules across institutions

Understanding needs

Their challenge

Staying on top of multiple bill payment schedules

*"if I miss a payment, then what's going to end up happening is now I have to pay bank fees, admin fees, you know, each let's say a check gets returned, that's another \$45.00. **You know, it's so expensive.**"*
-P5, 42 yo, Canada MM

Actions taken

Calendar reminders

***"I have a repeating thing in my calendar..."** I might keep it there for a couple of days, but usually I [pay that bill] right away... some companies send a reminder that your statement is available, it's for the ones that don't.*
-P5, 54 yo, Canada MA

Unmet need

Help people with multiple FIs manage bill payments

Key Segments



Everyone regardless of wealth could benefit from help managing bill payments across different platforms.



Investing (pt 1)

People need to access more investing products than are available on any single platform

Their challenges

Needing more options for investing than one platform can offer

*I'd rather one unified banking service, but **that's not possible for investing in different markets at least.***
-P6, 19 yo, N2C

*"I researched and found another app called Quest... I do have an active account with Wealthsimple...With Wealthsimple **their conversion fees is a bit higher when you trade in the US stocks** compared to the different other app, where they don't have any charges."*
-P7, 28 yo, N2C

Actions taken

Keep it simple by limiting their activity on different investing accounts

*"Let's say with joining Questrade, one of the biggest factors why I don't want to is because having a third account I'm going to be dealing with, I don't even know how you'd log into them. **If it's one account, if it's two factor authentication, it's the convenience of having everything in one spot.**"*
-P10, 29 yo, Canada MA

Unmet needs

Having more investing options within a single self-directed platform

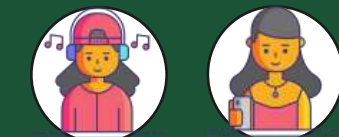
Managing multiple investments in a way that is painless

Understanding needs

Key Segments



People who want to grow their wealth need access to different investing options beyond what a single platform can offer



Our direct investors skewed younger



People who are familiar with other markets (e.g., N2C) may be actively seeking ways to invest internationally



Investing (pt 2)

People need to keep an eye on their total wealth so they can make the right decisions

Their challenges

Understanding their total wealth

"In an ideal world, **I would want to see how my financial health is...** you know, what I'm worth in terms of my assets. It gives me confidence, especially because I'm a business owner, it gives me confidence to make decisions."
-P16, 42 yo, Canada MM

Actions taken

Keeping track of all their investing manually

"I do keep an eye on [long-term investing] just so I have an idea of what our savings look like for retirement. **I do have a spreadsheet, I track our kid's RESP because that's part of it,** just so that it can all be on one page and I can just go through the different [investing] tools... you get a better view of what your totals look like when it's all on one page. [It's important because] **I'm closer to retirement than starting my work life.**"
-P11, 50 yo, Canada MA

Unmet needs

Help viewing their total wealth and making the right decisions

If I had a dashboard... it's sort of what I want to see... suggestions of... **is there an avenue where you can invest.** On that dashboard, you'd expect to see the **health of my investments.** I think it just gives me peace of mind, it shows me where I'm at financially.
-P16, 42 yo, Canada MM

Understanding needs

Key Segments



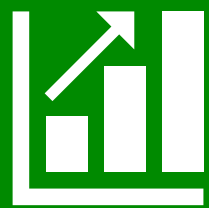
People who want to grow their wealth need access to different investing options beyond what a single platform can offer



People planning for a family or closer to retirement may need more of a birds-eye view on their investments so they can plan accordingly

Opportunity

Support customers whose financial goals feel distant or irrelevant. By increasing visibility of investments and registered accounts, Open Banking can **encourage customers to monitor their habits.**

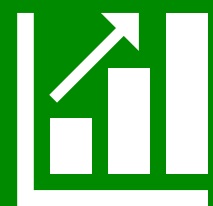


*"...The Mackenzie Financial [app], I **almost never open because it's really hard to log in** and I don't have the patience or care to do that. **And it's an RSP for very far in the future, I'm only 27.**"*

–P13, 27, Canada, Mass Market

Insight

Customers are picturing **investing advice** as a feature in a one-stop shop for managing financial wellness



A dashboard can help me find an avenue where I have passive income, all these assets. **What if something pops up and says 'hey this is an avenue for investing that we think is a best option.'** Let's say Tangerine pops up and says, hey, we give you 7000 if you put money into our account. Then, decision-making is with a snap of a finger.

–P16, 42 yo, Canada & MM



Credit cards (pt 1)

People are looking for cards that meet their unique needs

Understanding needs

Their challenge

Finding a card with the right interest and rewards

"There's way too many credit card options, way too many companies that offer credit cards, it's funny because the internet is supposed to help you and sometimes it's just way too much time... I'm getting to the point where it's like, OK, **I just need to focus on what it is that I want other than this card.**" -P11, 50 yo, Canada MA

Actions taken

Credit card shopping hubs

"There's a website called **Credit Card Genius...** They do all the research for you and then give you the highlights of each card, and **they even rank them for you, so you don't have to do all that work,** which I used to have to do before... it takes the thinking out of it because it tells you what your income needs to be, **it tells you everything before you even apply and could get rejected.**" -P4, 49 yo, Canada MA

Unmet need

Credit card shopping experience that takes the guess work out of maximizing rewards / minimizing fees, and getting accepted

Key Segments



People with less wealth may be interested in cards with low fees



People with more wealth may be looking for cards that earn them rewards at specific locations



People with less credit history may need help finding cards they're eligible for



Credit cards (pt 2)

People need to manage multiple accounts and stay on top of credit card debt

Their challenge

Unable to cancel or consolidate cards

"At the time [in college] people shopped at department stores, but now **I just keep [my Macy's card] alive by putting a recurring transaction on it** just so I don't lose that credit history, when my credit score is over 800 I don't want to cancel a bunch of cards and tank my score. **Ideally I want to cancel it... it's just less to worry about, I have to think about using it.**"
-P19, 36 yo, USA MA

Actions taken

Workarounds to manage payments across different institutions

"I like the ease of transferring from checking to my TD credit card. I don't want payments to take 3 days. For example, from Tangerine, I could transfer a bill payment to my TD credit card, but why would I do that if **I could do it instantly by e-transferring and then putting it from checking into my credit card.**" -P13, 27 yo, Canada MA

Unmet need

A credit card management hub that helps people view and pay off credit cards in one smooth action

Understanding needs

Key Segments



People who are concerned about their credit scores will be hesitant to close unwanted accounts.



Some people may carry a balance on their credit card and won't be able to consolidate accounts. A one-stop shop for credit card payments can help them stay on top of managing debt.



Borrowing

People with multiple FIs need to keep track of different bill payment schedules

Their challenges

Many mortgages

"I'm trying to consolidate to one bank, but I do have **three mortgages with three different banks** so I have to run with them."

– P3, 38 yo, Canada MM

Moving a mortgage

"We moved a mortgage from Manulife to TD. **It was extremely painful. We had to basically find every piece of paper known to man to be able to do that.** It took probably over a month to make that transfer."

– P11, 50 yo, Canada MA

Mysterious approval process

"I went to BMO first... it didn't go through... we gave a mortgage broker at CIBC **exactly the same documents, and it was approved.**"

– P3, 38 yo, Canada MM

Unmet needs

A one-stop shop to help customers manage multiple mortgages across institutions

Your information in one place for quicker loan decisions

"If in the future I'm applying for a mortgage, **I can apply at one bank and everybody could have the information... getting rid of broker fees... saving time...**"

– P4, 49 yo, Canada MA

Transparent process making it easy to discover how banks differ in the approval process

Understanding needs

Key Segments



Customers looking for mortgage loans benefit from quicker decision-making on applications, and a central hub for shopping for a mortgage

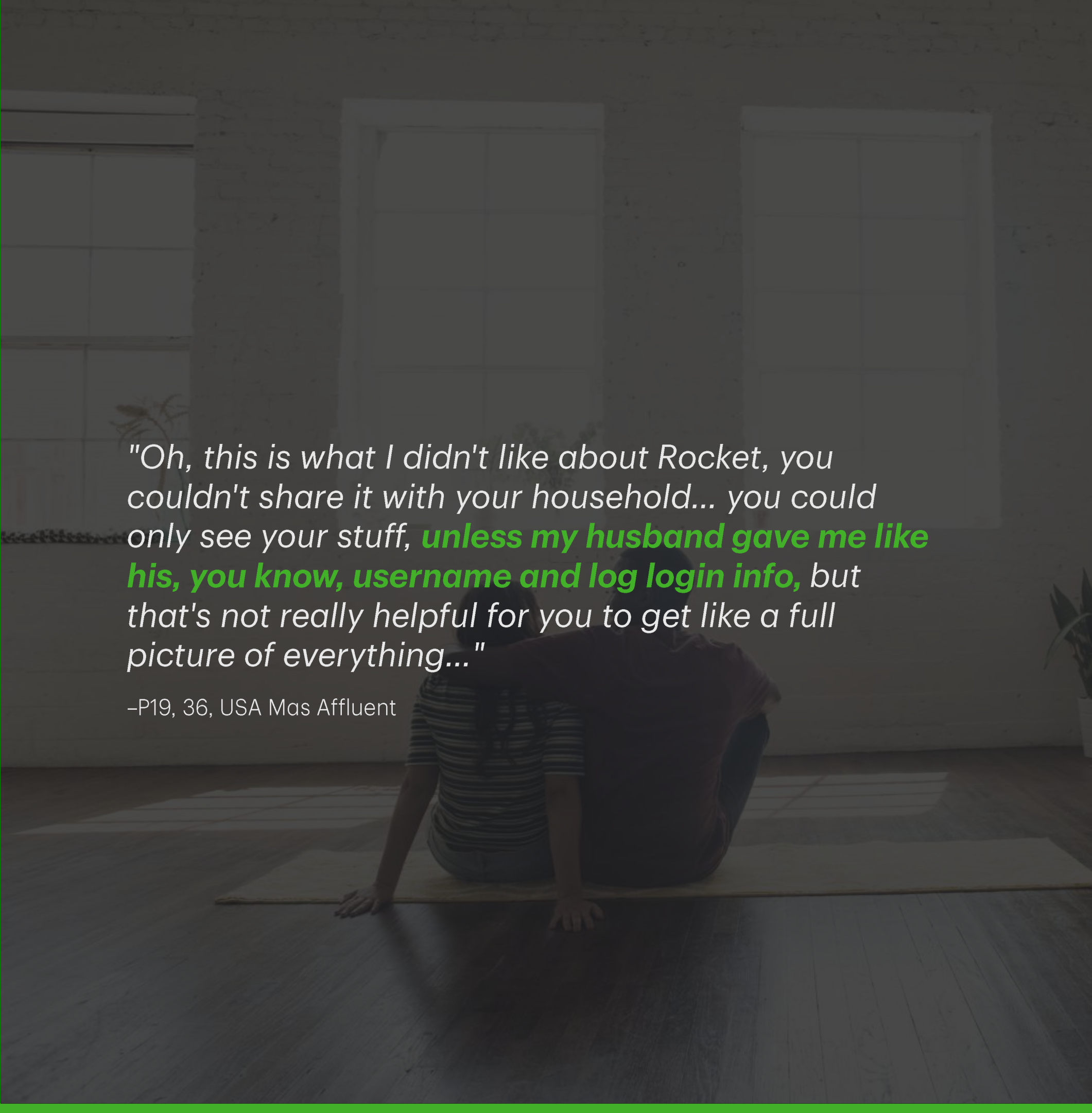
Customers with many mortgages would benefit from managing loans in a centralized hub that can offer them strategic insights about loan payments



Newcomers would benefit from more transparency in the loan application process and the ability to share complex documents only once

Future direction

People are creating their own solutions to joining their finances and goals with a household. **Open Banking can fill this gap with less pain and more accuracy.**



"Oh, this is what I didn't like about Rocket, you couldn't share it with your household... you could only see your stuff, **unless my husband gave me like his, you know, username and log login info,** but that's not really helpful for you to get like a full picture of everything..."

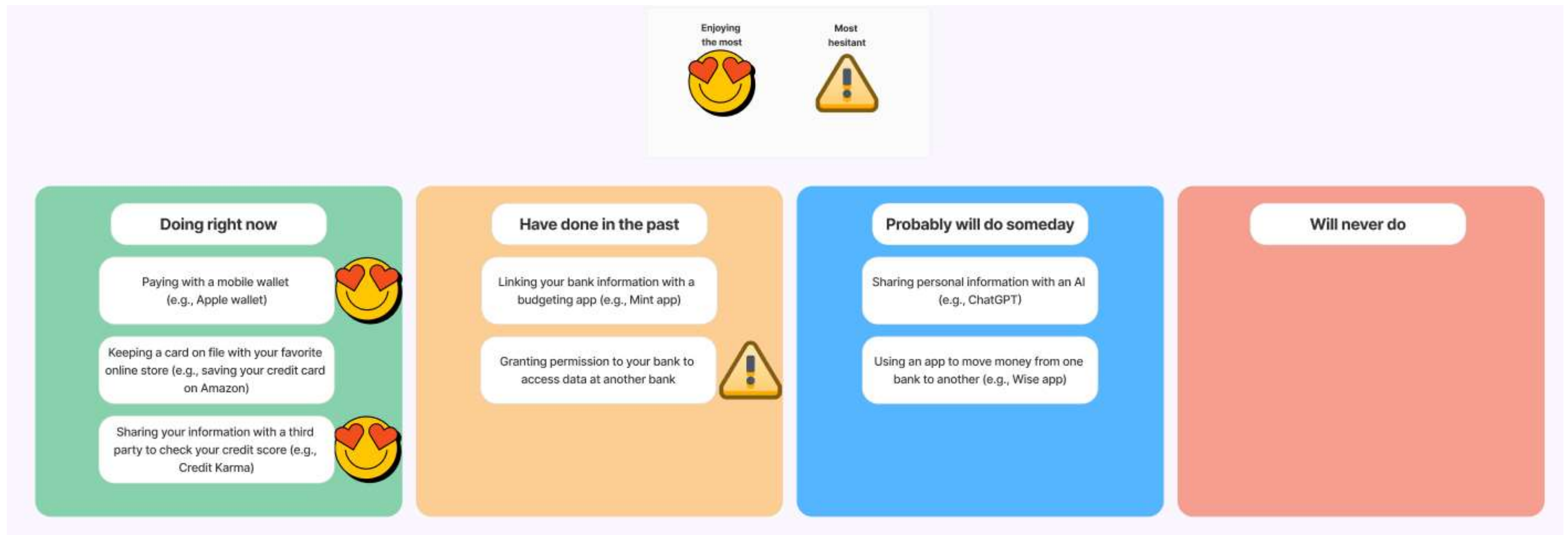
–P19, 36, USA Mas Affluent

How people adopt a technology or tool

Especially when it requires putting their privacy at risk

Participants sorted some online data sharing activities into categories

We learned that most people take risks with their data:



Here are some common ways participants sorted the items:

Keeping a card on file with
your favorite store



18 people:

Currently doing

Granting permission for your bank to
access your data at another bank



7 people:

Have done in the past



7 people:

Will do someday

Share personal information
with ChatGPT



10 people:

Will never do



Americans were **more likely** to say they've taken specific actions, like **granting permission for a bank to access data at another bank**



Americans were **slightly less likely** to sort some items into 'Will Never Do' compared to Canadians

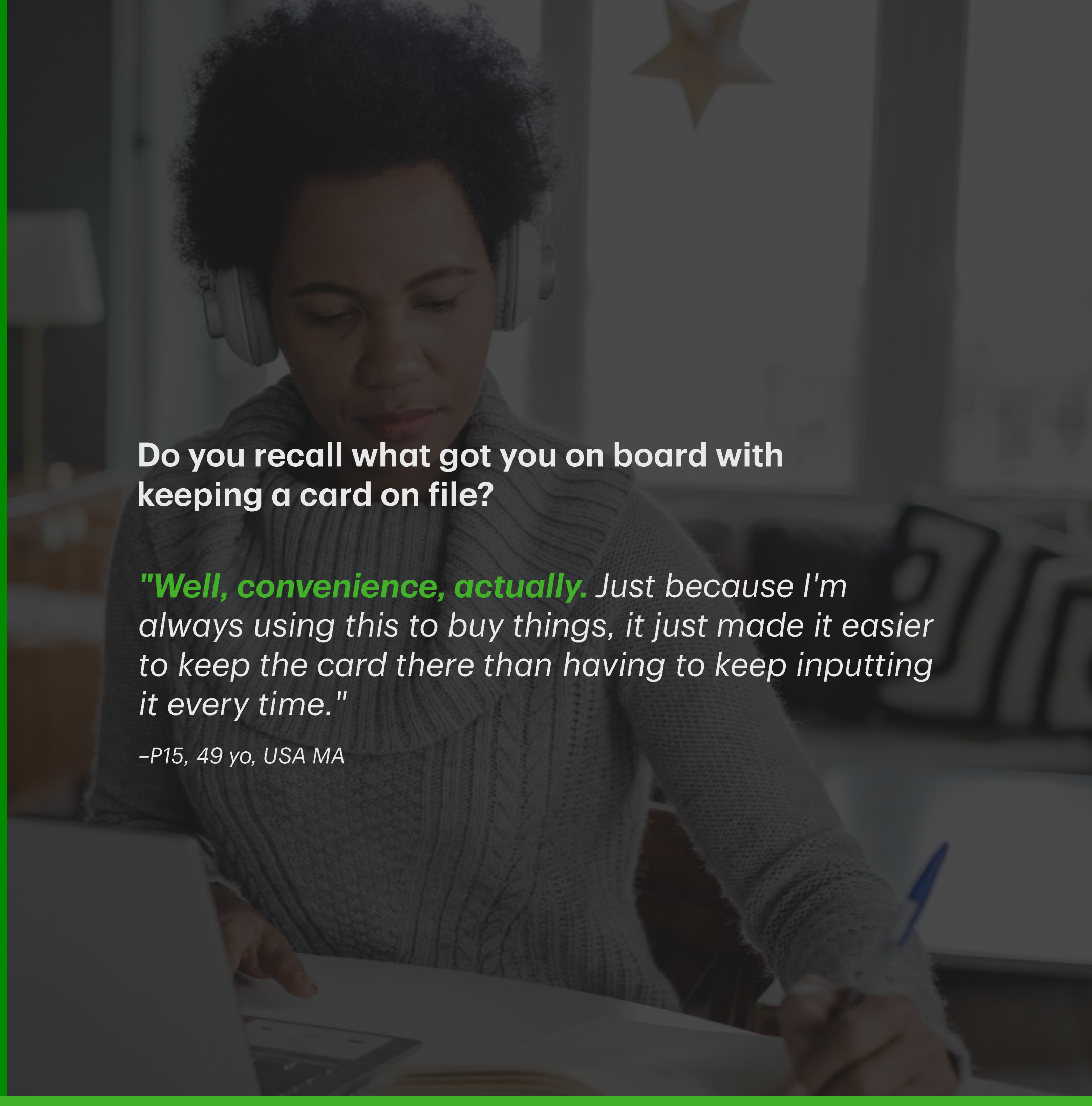
Insight

People describe a **convenience tradeoff** that helps them decide when to take a potentially risky action online

Do you recall what got you on board with keeping a card on file?

*"**Well, convenience, actually.** Just because I'm always using this to buy things, it just made it easier to keep the card there than having to keep inputting it every time."*

–P15, 49 yo, USA MA



Getting comfortable

These are the activities and rituals that help people decide whether to share their data using a service or technology:

Performing a lower stakes activity

"I did go through the process [moving money from CIBC to Tangerine] a couple of times without - **entering fake information to see, OK, well, what do they need?** And then becoming comfortable with that process before I said, OK, go." -P4, 49 yo, Canada MA

"[Apple Wallet] For me, I just caved in at some point. **I put in my husband's card and it was so easy.** I know that doesn't make sense because it's all joint accounts, but some things just make you [comfortable]." -P4, 38 yo, Canada MM

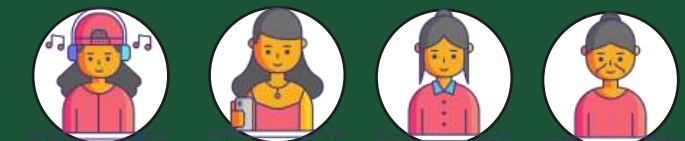
Doing the research

"**Usually I'll check the reviews. Or, there might be stuff that I heard...** about different companies, if I've heard something bad about them or concerns about security or whatever, then maybe I wouldn't share." -P4, 49 yo, Canada MA

"[do you remember how you got on board with Google home?] I think just reading, hearing people's stories. I'm on most of the forum boards, **I'm a huge Reddit guy...** I think the confidence comes from, what's the fall-back plan? What happens if I get breached? **So I look at the whole picture to sort of get that confidence in it.** Once I have it, the only other thing that can shake it is if something happens down the road."-P16, 42 yo, Canada MM

Adoption patterns

Key Segments



In this round of research, we **did not observe a generational difference** in which participants were more vs. less risk-taking.

Late adopters

People might wait for these cues before they decide if a technology or service is safe to use:

It's already been widely adopted

"Once I feel like I'm missing out, then I'll do my research into it and weigh pros and cons and benefits, or just see if I'm comfortable with it." –P10, 29 yo, Canada MA

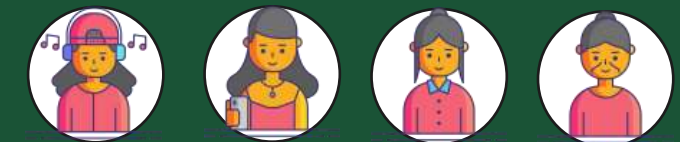
*"I think the amount of people that are using [UPI] shows me that the confidence in that system is huge. So if I was hesitant, I would just look at tens of thousands of people using it with no issues. My research would be so quick; hey, you know what, **I can ask Tom, Harry, whomever, how it's doing, and get so much information.**" –P16, 42 yo, Canada MM*

Savvy friends and family tell you it's okay to use

*"I have certain people in my life where I'm like, oh, okay, if he's using that thing or that app, then it must be okay... My brother is an audio engineer so if he bought those headphones, they're good. If my cousin bought that tool, I know it's good. I don't think I have anyone specific for banking, but I would say **my brother for instance is pretty savvy and plays it safe with that kind of thing. If he was using a specific app or something, I would probably think it was okay.**" –P20, 36 yo, USA MM*

Data sharing

Key Segments

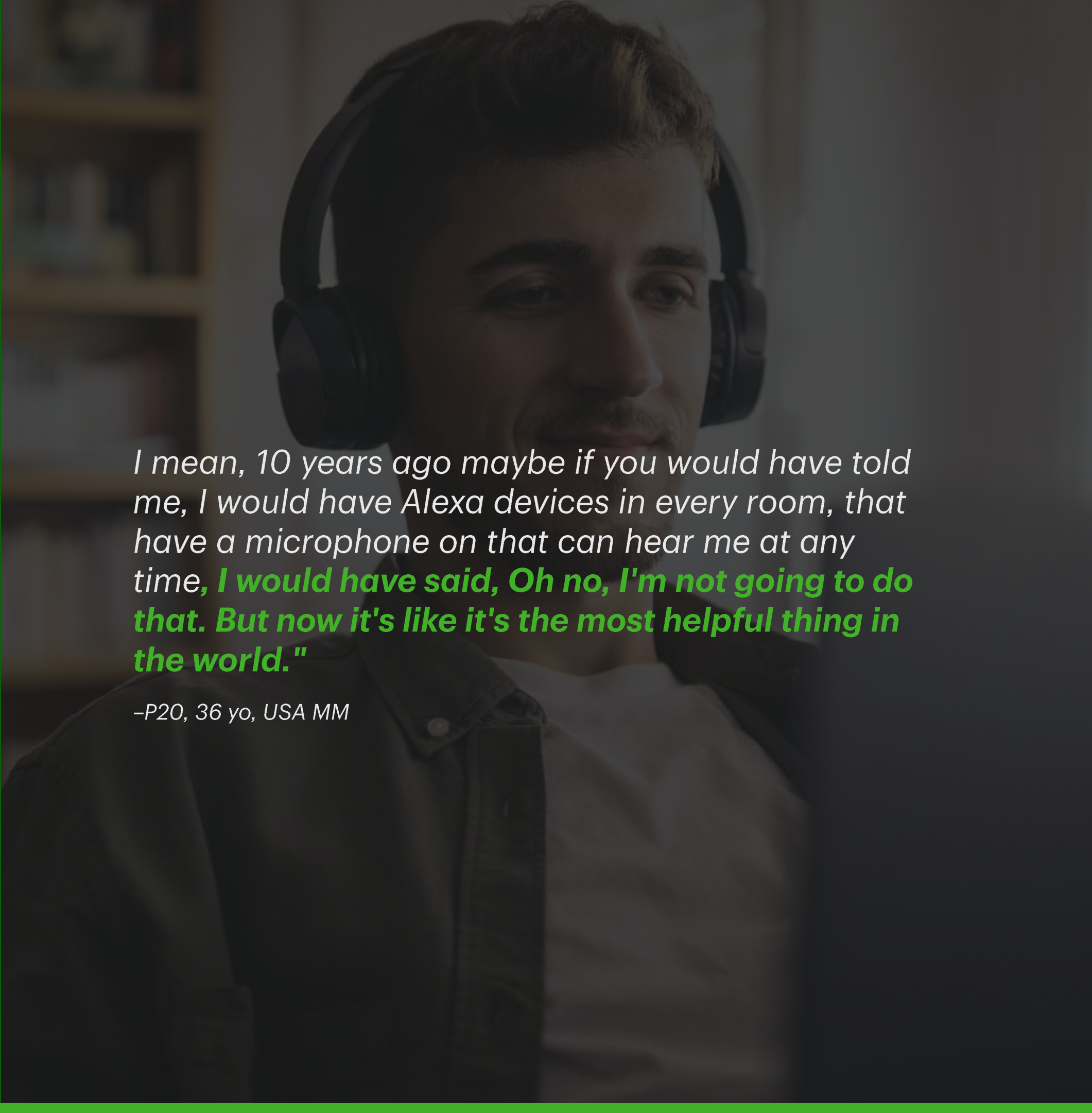


In this round of research **we did not observe a generational difference** in who behaved like a late vs. early adopter.

Watch-out

People don't judge their future selves accurately.

People who are uncomfortable sharing data now may be open to it in the future.



*I mean, 10 years ago maybe if you would have told me, I would have Alexa devices in every room, that have a microphone on that can hear me at any time, **I would have said, Oh no, I'm not going to do that. But now it's like it's the most helpful thing in the world.***

—P20, 36 yo, USA MM

Data sharing attitudes and beliefs

What are people think and feel about protecting their data

Insight

Many people are resigned to the idea that their data is already out there, so **they won't change their behavior to keep their information private**

"Right now I don't think you have a choice. With Flow they have **your menstrual cycle**, with budgets they have **your money**, with the bank they have your money, with Instagram they have **your pictures**. With Apple, when you take a picture, it shows you where it was taken. They have **your location**... with Amazon, **they check what you're buying**, with Facebook they have **the history of your life**... when Facebook came out, everybody was just putting a bunch of information and didn't have a care in the world... maybe because I'm using Apple, **I feel like everything is just in my account settings.**"

—P3, 38 yo, Canada MM

Watch-out

Even if sharing data is unavoidable, **people don't blindly consent** unless they see a benefit or a purpose. We must **show them what they'll get out of signing up** for an Open Banking experience

"It depends on what I need it for. I feel like if it were something like, how I use TD Budgeting and Tangerine separately, if they could talk to each other and make it one and then I don't need to download Mint or another stupid app, I would like it and I would give them all my stuff because it would make my life easier."

–P13, 27 yo, Canada MM

"[Granting permission to share data] totally depends on the situation... definitely when we purchase our first home... small transactions you can do via app, you don't need to grant permission to the bank."

–P9, 35 yo, N2C MM

"I would go to the bank, tell them what they need to know for us to do business together, but beyond that, no. And you never know when they're going beyond that line, you have to give so much information now to get an account of any kind."

–P17, 60 yo, USA MM

Protections from fraud and theft

When it comes to sharing financial data, people take additional precautions

Being selective about the company

I would be more inclined to share my data with the big [companies]... I'd probably go with the more popular name brands, for example Apple, Samsung, as opposed to [another] wallet I don't know anything about. I've used it, I trust the technology, probably the less popular one or more used ones I'd probably go with the one I know more." –P3, 38 yo, Canada MM

Being selective about what data to share

*"With Amazon [I would share] nothing. Just my credit card and address, because I am only buying from them, **they don't need to know anything else about me**... Facebook, same things. It's just general information. I don't think it even has my birthday."* –P4, 49 yo, Canada MA

Adding only one card to a website

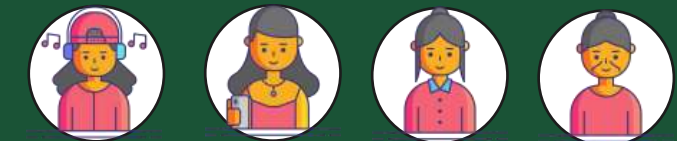
*"Because I keep my card on file at Amazon and that's all I use that card for, **it's easy for me to flag when there's an issue**."* –P5, 54 yo, Canada MA

Manual entry helps them steer clear of fraud

*"If I wanted to use that app, let's say Amazon, I will add my card, do the transaction, and then will remove the card... just to make sure, if my card is there, **there won't be any fraud transaction**."* –P5, 54 yo, Canada MA

Data sharing

Key Segments



In this round of research **we did not observe a generational difference** in how people protect themselves online while sharing financial data.

Expectations of data sharing practices

People hold companies to different standards when it comes to protect their data

Some people only care that companies meet basic standards to protect them from fraud:

*"I guess maybe if Amazon workers could see my entire card number or something like that, or if I find out [my information] is out there on the dark web, or the obvious things, like that, just a lack of basic security. **I don't even have super high expectations...**" -P20, 36 yo, USA MM*

***"If someone steals my information, I would say that's a violation of privacy...** that actually happened to me a few years ago... but luckily the user experience [is good], Apple really thinks a lot of stuff that other companies don't, I ended up turning on advanced fraud protection." -P19, 36 yo, USA MA*

Some people want their data to be treated as sacred:

*"See, I'm a customer of Apple and I don't want my data to be shared for various reasons. It's okay if they are doing it for some research or something, but with companies like Facebook, your data is everywhere... **if you think you can just have the authority to share our data without asking us it's not right.**" -P8, 29 yo, N2C MM*

*"Sharing how I'm using my cards with any other company, I would not want that... **unless they ask my permission for it, I don't think my usage details should go anywhere.**" -P4, 49 yo, Canada MA*

Data sharing

Key Segments



We observed a small pattern where Americans seemed to hold companies to a lower standard than Canadians when it comes to sharing their data

What people think of sharing their data with banks and fintech

What attitudes, beliefs, and values do people have with respect to data sharing between financial institutions?

None of our participants had heard of Open Banking before

People don't know about the good or the bad of Open Banking. If we want customers to understand the difference between screen scraping and sharing via APIs, we will need to educate them.

Consumer-directed finance might not be a reality until we educate the public. People won't realize the full potential of Open Banking to help them take charge of their data unless we equip them to

Banks vs. companies

When it comes to data sharing, here's how banks compare to other companies:



Safer

Banks have the infrastructure to keep information safe

*What makes you feel like your banking information will be kept a secret, **regulated by like the government, is the CDIC here in Canada.** It just feels like it's like a house made of brick versus a house made of straw. –P2, 35 yo, Canada MM*



No different

Banks, like other companies, are out to make a profit

*"There's probably no difference [from sharing data with a company]. A company's a company, right? Companies are out to make a profit... **I just assume that everybody's using information for something.**" –P5, 54 yo, Canada MA*



Less safe

Banks have higher risk information than other organizations

*"The information you share with banks is a lot more consequential than what you share on social media. Because with banks, you're sharing stuff that affects your day to day life, **you're sharing your identity, your ID card.**" –P6, 19yo, Canada MM*

Key Segment



Whereas Canadians trust bank infrastructure like CDIC insurance, Americans are more likely to use other cues that a bank is trustworthy, e.g., size or reputation.

Opportunity

People think bigger banks are less risky to share their data with because they are **held to a higher standard**

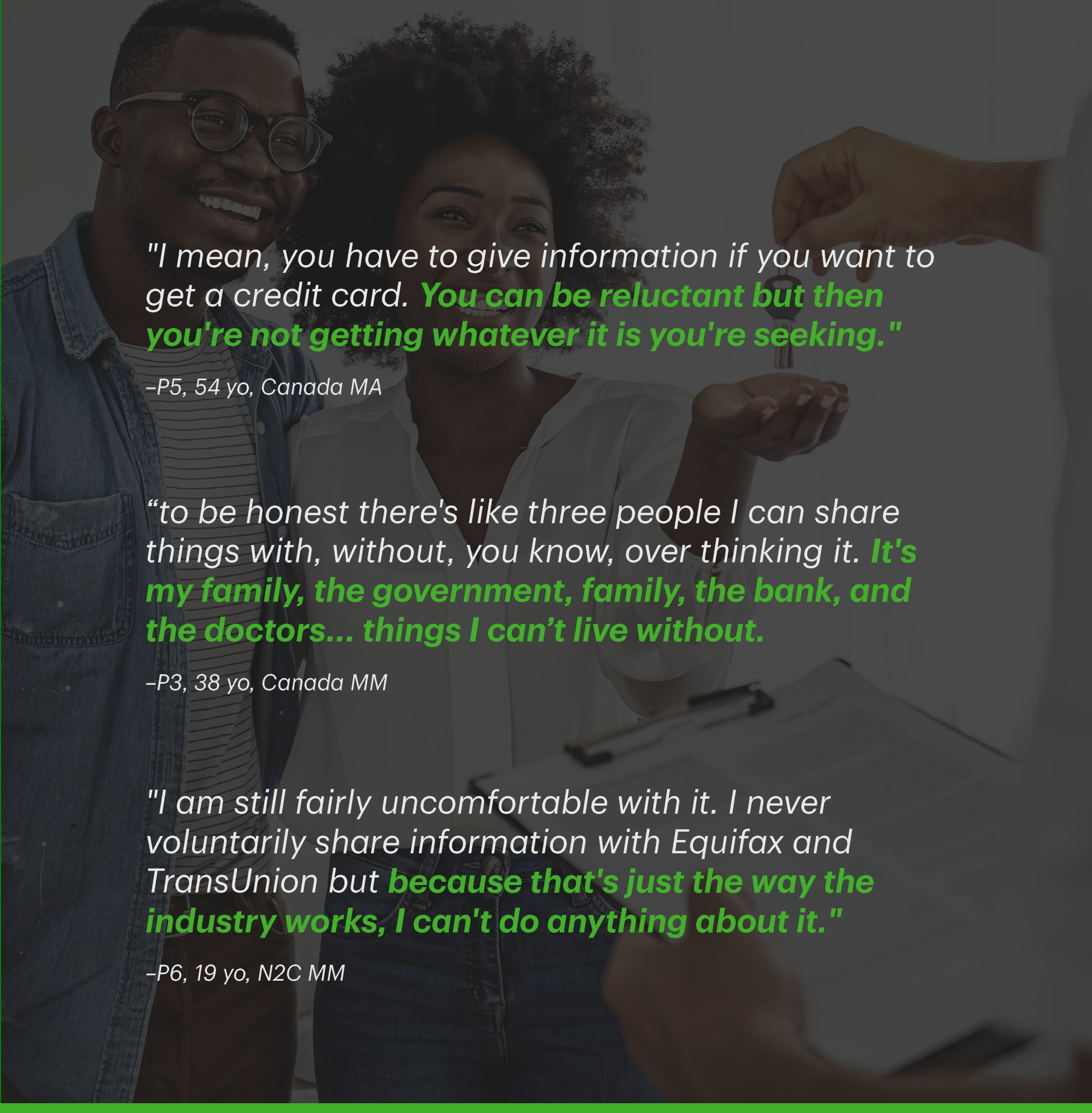


*"I trust bigger establishments, and bigger banks. I figure these guys have millions of customers, they've been doing this a long time. And they have a reputation. **They have a microscope on them, and if they play around with that, they're going to suffer the consequences.**"*

—P3, 51 yo, USA MM

Watch-out

The mindset is that banks **need their data** whereas companies **want their data**. The challenge will be convincing customers to elect to share data for opportunities that go beyond essentials

A photograph of a smiling couple, a man with glasses and a woman with curly hair, standing together. In the foreground, a hand is holding a key. The image is slightly faded to serve as a background for the text.

"I mean, you have to give information if you want to get a credit card. **You can be reluctant but then you're not getting whatever it is you're seeking.**"

—P5, 54 yo, Canada MA

"to be honest there's like three people I can share things with, without, you know, over thinking it. **It's my family, the government, family, the bank, and the doctors... things I can't live without.**

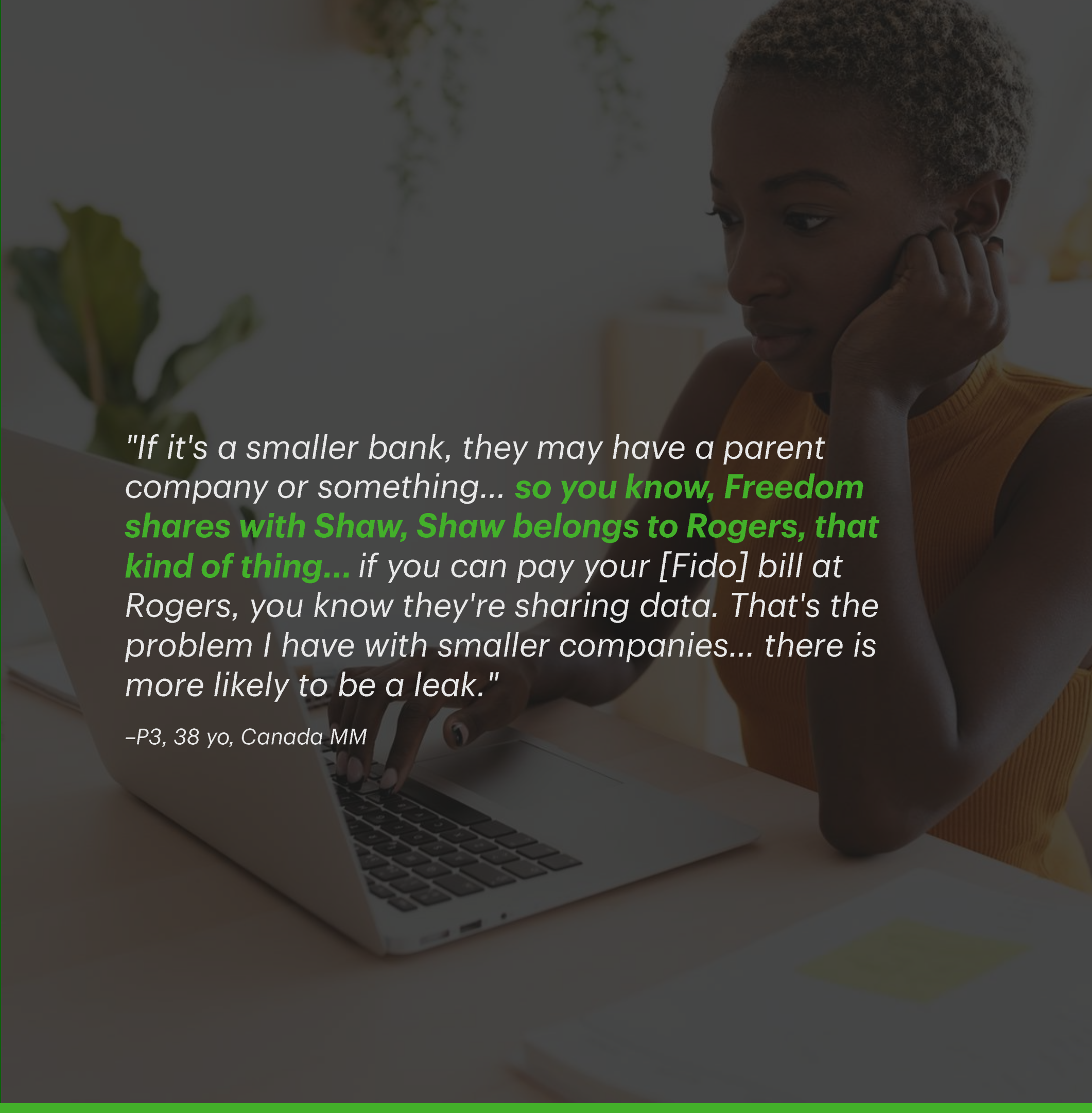
—P3, 38 yo, Canada MM

"I am still fairly uncomfortable with it. I never voluntarily share information with Equifax and TransUnion but **because that's just the way the industry works, I can't do anything about it.**"

—P6, 19 yo, N2C MM

Opportunity

People think bigger banks are less risky to share their data with because they have **fewer sharing partners**



"If it's a smaller bank, they may have a parent company or something... **so you know, Freedom shares with Shaw, Shaw belongs to Rogers, that kind of thing...** if you can pay your [Fido] bill at Rogers, you know they're sharing data. That's the problem I have with smaller companies... there is more likely to be a leak."

—P3, 38 yo, Canada MM

Watch-out

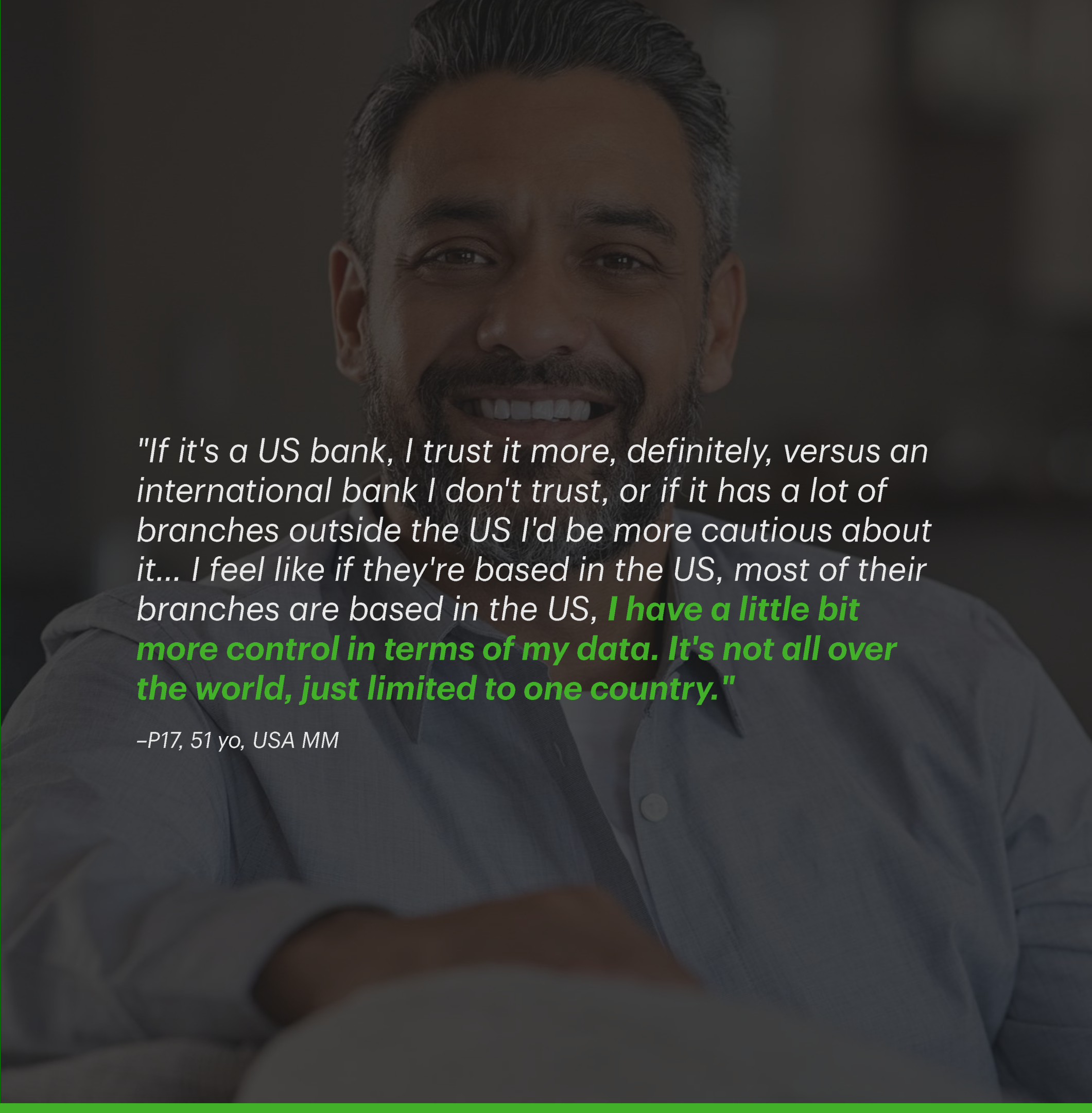
Though big banks may be safer, people think **smaller banks have their best interest at heart**

"I'm looking at alternatives like smaller banks because I feel like they have my best interests in mind... **compared to bigger banks that are already grown, they don't really care about the smaller people to be honest.** But smaller banks want to grow so they want to do better. Something like Wealthsimple... I don't know if they're small, they just feel small to me."

—P1, 22 yo, Canada MM

Watch-out

Americans may feel that international banks are less safe



*"If it's a US bank, I trust it more, definitely, versus an international bank I don't trust, or if it has a lot of branches outside the US I'd be more cautious about it... I feel like if they're based in the US, most of their branches are based in the US, **I have a little bit more control in terms of my data. It's not all over the world, just limited to one country.**"*

—P17, 51 yo, USA MM

Banks vs. fintech companies

When it comes to handling data, people have some assumptions about banks vs. fintech companies:



Safer

There is more governance with banks than with fintech companies

"It's protected in that someone has your back, versus Wise or Mint, they're not on the Government of Canada's website, **there's no protection layer there.** If the bank went bankrupt and you lost your money or in this case your information was stolen, what will they do for you?" -P2, 35 yo, Canada MM



No different

Banks, like other companies, are out to make a profit

"[Monarch and Ally Bank] are probably the same, as long as it's secure, that's always the biggest concern... **no one's immune to it, but are companies taking the right steps to ensure your data secure?**... If tomorrow Ally Bank offered me the same exact thing as Monarch, sure, I'll use Ally." -P19, 36 yo, USA MA



Less safe

Budgeting apps give you more control over who does vs. doesn't see your data

"This budgeting app would have to be secure... but **for me only, and the banks would not have access to any information contained there...** [If I use an app and not a bank] **I would be the only one that has the access to the budgeting app**"... -P4, 49 yo, Canada MA

Key Segments



There was a small pattern where Americans seemed more likely than Canadians to equate companies and banks in terms of what they were vs. were not allowed to do with data.

Watch-out

Things like budgeting apps seem to have less control over your accounts, which may create **safety that a bank can't offer**

What's the difference between your budgeting app and the Wise app?

***The budgeting app doesn't have the access or ability to touch my bank accounts**, whereas it seems like Wise app, it would have to. You're giving it some authority or control over your actual bank account, Monarch doesn't. It's just reading my data.*

–P19, 36 yo, USA MA

Open Banking may not be for everyone

When it comes to connecting accounts, this is what might get in our way:

People want to squirrel some money away

"I don't want to know how much I have. I feel like seeing is believing... it's like a safety thingy. I want something to fall back on... if you do all [your spending] and you still have 2000, you can relax." –P1, 22, Canada MM

People feel comfortable when there is some separation between institutions

"I know all the banks report to the Canadian government, so there's somebody who knows everything. **But I don't like each bank knowing everything. I don't know if it's fear, or discomfort, but I just like that separation a bit...** I would prefer the government didn't know either, but I don't have control over that. This I have control over." –P4, 49 yo, Canada MA

People assume a bank can use your other banking information against you

"If I share my data, all the data and account information to other bank, they might find out 'oh, I have this [product] and **I feel that it could cause trouble for me,** or I don't know, it just feels risky for some reason." –P7, 28 yo, N2C MM

"I think I'd probably decline [to connect banks] since I'm with this other institutions for a certain purpose. **I wouldn't want to rock the boat, so to speak,** it might require some hard thinking." –P3, 38 yo, Canada MM

Key Segments



People who have exposure to markets where connecting accounts is more common (e.g., India, America) may feel less hesitant about a future with Open Banking.

What's different here in Canada?

We heard from 5 participants who were New to Canada from
India (2-4 years in the country)

How India and Canada compare

People coming from India will have specific expectations about how data sharing looks



UPI in India is an example of how Open Banking might look here

"Yes, I think the way we handle payments back home, UPI, if you are familiar with UPI payment method, is very convenient over there and which is not over here. **I feel in that way India is a bit advanced because we have different wallets which we can use the UPI thing.** It's mostly for payments right now, like not ten years ago, but right now UPI is very convenient in India and that is something which was not here. So that was a bit, I won't say it was challenging, but it, it is very different." – P7, 28, N2C MM



People observe differences in how banks handle data in Canada and India

"India doesn't have data protection laws as of yet. So, there's no framework that companies abide by. You just have to trust in what like product they're using. **Whereas I do know there's Data Protections and Security Act in Canada, so that gives me a bit more faith in the Canadian system.** But at the same time, I do know that laws stop people like from really exploiting data per se. So, it doesn't stop people from exploiting data, but it can stop institutional exploitation, like it stops big companies from doing it, but you obviously have unlawful actors that will end up doing it anyway. **So, I'd say have more faith in Canadian companies to use my data like in a more secure manner.**" – P6, 19 yo, N2C MM

Different in Canada

Key Segments



People coming from India and other countries where Open Banking is more mature may have a mental model of what the experience will look like. In India, that mental model is UPI, which is perceived as safe and efficient payments.

People coming from India expect the Canadian system to be safer in some respects (e.g., companies compliant with data sharing regulations) which may draw them to Open Banking here vs. back home.

Thank
you. 

Contributors

Ewa Plonka, Rachele Benjamin

Appendix

Open Banking Discovery Interviews

Participant number	Segment	Age	Gender	Employment Status	Race / Ethnicity	Lived Location	Any FI Outside Country	Currently Used FIs	Primary Bank	Primary Bank Accounts	Second ary Bank	Secondary Bank Accounts	Fintechs Used	Tech and Risk Relationship	Dealt With Fraud	Using Self-Directed Investing	Trades in Avg Year	Recently Applied For MTG	Recent Student
1	Canada MM	22	F	Part-time/Full-time Student	Black/African American	Ontario	No	RBC, CIBC, EQ Bank,Wealthsimple	e	Checking, Savings	CIBC	Checking, Savings, Credit Card, Mutual Funds	KOHO, Wealthsimple , PayPal, Credit Karma	Medium	Yes	Yes, at one FI	0 - 12	No	Yes
2	Canada MM	35	M	Full Time	White	Ontario	No	RBC, EQ Bank, Tangerine, Wealthsimple, Neo Financial	Tangerine	Checking, Savings, Credit Card	Neo Financial	Savings, Credit Card	Wealthsimple , Neo Financial	Medium	No	Yes, at one FI	13 - 80	No	No
3	Canada MM	38	F	Full Time	Black/African American	Ontario	Unsure	TD, BMO, Scotiabank, CIBC	BMO	Checking, Savings, Creditcard, Line of Credit	TD	Checking, Savings, Credit Card, Line of Credit, Mortgage	Does not use Fintech	High	No	I have never used DI	Does not use self-directed	No	No
4	Canada MA	49	F	Full Time	Asian	Ontario	No	TD, CIBC, Tangerine	TD	Checking, Credit Card, Line of Credit	CIBC	Savings, Credit Card, Line of Credit, Mortgage, Mutual Funds	Paypal	Medium	Yes	Yes, at multi FIs	0 - 12	No	No
5	Canada MA	54	F	Full Time	White	Ontario	Yes	RBC, Educators Financial Group, Simplii, CIBC	Simplii	Checking, Savings	CIBC	Checking, Credit Card	Does not use Fintech	Medium	Yes	I have never used DI	Does not use self-directed	No	No
6	N2C	19	M	Student	Asian	Ontario	Yes	RBC, CIBC	RBC	Checking, Savings	CIBC	Checking, Savings	Paypal	High	Yes	Yes, at one FI	0 - 12	No	No
7	N2C	28	F	Full Time	Asian	Ontario	Yes	TD, Scotia, Manulife, Wealthsimple	Scotia	Checking, Savings, Credit Card, Direct Investing, Mutual Funds, GICs	TD	Checking, Savings	KOHO, Wealthsimple , PayPal	High	Yes	Yes, at one FI	>80	Yes	Yes
8	N2C	29	F	Part-time	Asian	Ontario	Yes	Scotia, ICICI	Scotia	Checking, Savings, Credit Card, Mutual Funds	ICICI	Checking, Savings, Mutual Funds	Wealthsimple , Paypal, Credit Karma	High	Yes	Used in the past	0 - 12	No	No
9	N2C	35	M	Full Time	Asian	Alberta	Yes	RBC, Scotia	RBC	Checking, Savings, Credit Card	Scotia	Checking, Credit Card, Line of Credit	Wealthsimple , Paypal	Medium	Yes	Yes, at one FI	13 - 80	Yes	Yes
10	Canada MA	29	M	Full Time	White	Ontario	No	RBC, TD	TD	Checking, Savings, Credit Card, Line of Credit, DI, GICs	RBC	Checking, Savings, Credit Card	Does not use Fintech	Medium	Yes	Yes, at multi FIs	13 - 80	No	No

Participant number	Segment	Age	Gender	Employment Status	Race / Ethnicity	Lived Location	Any FI Outside Country	Currently Used FIs	Primary Bank	Primary Bank Accounts	Secondary Bank	Secondary Bank Accounts	Fintechs Used	Tech and Risk Relationship	Dealt With Fraud	Using Self-Directed Investing	Trades in Avg Year	Recently Applied For MTG	Recent Student
11	Canada MA	50	F	Full Time	White	Ontario	No	TD, Manulife, Simplii	TD	Checking, Mortgage, Direct Investing	Manulife	Line of Credit	Paypal	Medium	No	Yes, at one FI	0 - 12	Yes	No
12	N2C	22	M	Part-time/Full-time Student	Asian	Ontario	Yes	RBC, Scotia, Wealthsimple	RBC	Checking, Credit Card	Scotia	Checking, Credit Card	KOHO, Wealthsimple, PayPal	High	No	Yes, at one FI	Does not use self-directed	No	No
13	Canada MM	27	F	Full Time	White	British Columbia	No	TD, Tangerine	Tangerine	Checking, Savings, Credit Card	TD	Checking, Savings, Credit Card, Mutual Funds	Wealthsimple, PayPal, Borrow Well, Mint	High	Yes	Yes, at one FI	0 - 12	No	No
14	Canada MA	60	M	Retired	White	Nova Scotia	No	CIBC, EQ, Tangerine, Simplii Financial	Simplii	Checking, Savings, Line of Credit	CIBC	Checking, Credit Card, Line of Credit	Paypal	Medium	Yes	Used in the past	0 - 12	No	No
15	USA MA	49	F	Full Time	Black/African American	Texas	No	American Express, Bank of America, Capital One, Wells Fargo, Ally Credit Union	Wells Fargo	Checking, Savings, Credit Card, Debit Card, Mortgage, Investing, Certificate of Deposit	Ally Credit Union	Checking, Savings, Credit Card, Debit Card, Investing	Paypal	High	Yes	0 - 12	Yes	No	No
16	Canada MM	42	M	Full Time	Asian	Alberta	No	RBC, Tangerine	RBC	Checking, Savings, Credit Card, Line of Credit	Tangerine	Checking, Savings, Credit Card, Line of Credit	Wealthsimple, PayPal, Credit Karma	Medium	Yes	Yes, at one FI	0 - 12	No	No
17	USA MM	51	M	Full Time	Black/African American	California	No	American Express, Bank of America, Chase, Citibank, PNC	Bank of America	Checking, Savings, Credit Card, Debit Card	Chase	Checking, Savings	Venmo	High	No	13 - 80	Yes	No	No
18	USA MM	60	M	Part-time	White	Texas	No	American Express, Wells Fargo, Texas Credit Union, Vio	Texas Credit Union	Savings, ATM Card	Vio	Savings	Paypal	High	No	0 - 12	Yes	No	No
19	USA MA	36	F	Full Time	White	Wisconsin	No	Goldman Sachs, Ally Bank, UW Credit Union	Ally Bank	Checking, Savings, Debit Card, ATM Card	UW Credit Union	Checking, Savings, Debit Card, ATM Card	Venmo	High	No	Does not use self-directed	No	No	No
20	USA MM	36	M	Full Time	White	California	No	Bank of America, Capital One, Chase, Goldman Sachs, Synchrony Bank	Bank of America	Checking, Debit Card	Capital One	Checking, Credit Card, Debit Card	Paypal	High	No	Does not use self-directed	No	No	Yes

Participants

Method

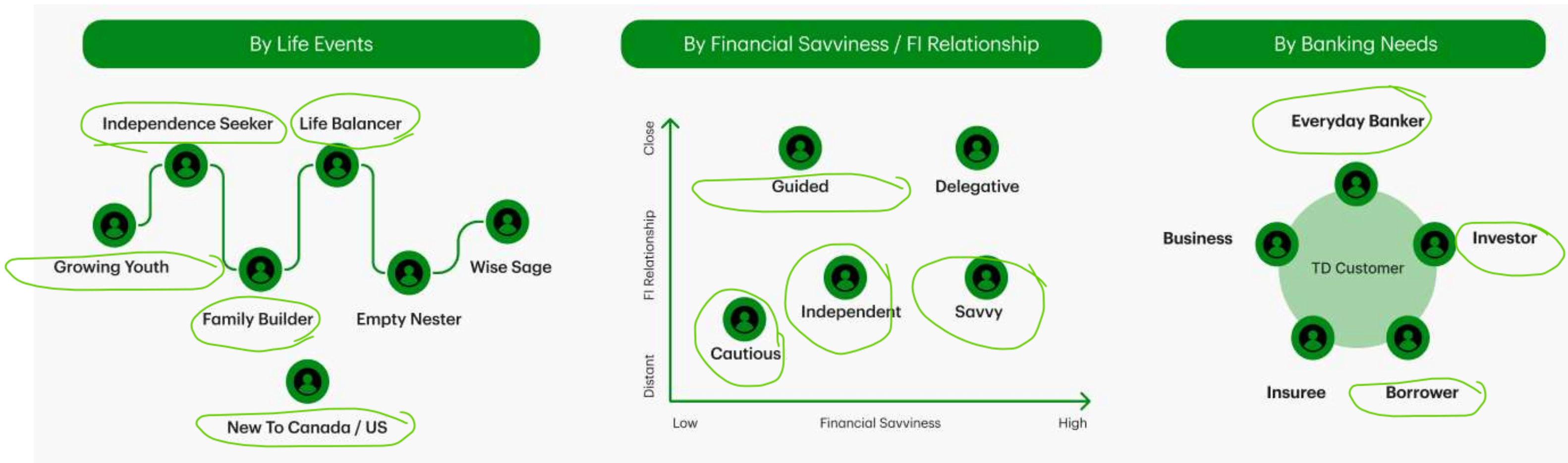
Here is what we hoped to learn about these segments:

Segment	Segment-Specific Research Questions	Key OB concepts
 N2C from India	By year 2-4 N2C customers have products with multiple Fis ¹ . And, India is ahead of Canada in terms of connected banking. (1) Do N2C customers need help managing multiple accounts, and (2) do they expect connected banking experiences that reflect the Indian banking system?	Budgeting tools Bill payments Borrowing help
 CAD Mass Market	A key user need that Open Banking helped people in the UK meet is Personal Finance Management. Does the average Canadian need help managing their spending and saving?	Budgeting tools Credit card shopping
 CAD Mass Affluent	This segment wants to grow their wealth and is more likely to do DIY investing. Are they seeking help making strategic decisions about their money?	Direct Investing tools
 American	More Americans link financial accounts than Canadians (81% vs. 77%) ² . Are Americans less worried about data privacy and security than Canadians?	Budgeting tools Bill payments Direct Investing tools Credit card shopping Borrowing help

¹N2C Families Discovery Research (Girgis & Plonka, 2024)
²The Rise of open Banking in North America (Mastercard, 2021)

Research phase 1 coverage

Here is how we will align with HCD lobal segments:



More on our approach

HCD Research

June 2024

HCD recruits based on **customer actions**, not on bank-defined categorization

We anticipate that users belonging to different bank segments can share a goal, depending on the context. With each new context, we consider the behaviors that matter to us so we can learn the right things.

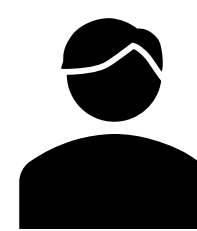
All these segments are looking for a mortgage right now



HNW
\$1 million
investable
assets



Mass affluent
\$250K
investable
assets



Mass market
<\$250K
investable
assets

More on our approach

HCD Research

June 2024

HCD recruits based on **customer actions**, not on bank-defined categorization (cont'd)

Recruits are tailored to what decisions we're trying to make. Here are examples of recruiting criteria for HOJ (left) and for US credit cards (right):

HOJ



[D2C-Discovery and Concept Evaluation_Concept Evaluation_2023](#)

US credit cards



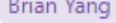
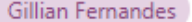
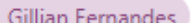
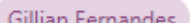
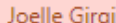
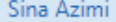
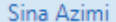
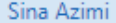
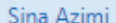
[CDPP Application Flow Mobile Usability testing_2023](#)

More on our approach

HCD artifacts for segments, personas, and archetypes are often **very specific** to the LOB

[Click here for a list of HCD segments, personas, archetypes](#)

HCD User Types 

 Name 	Artifact Type 	LOB 	Year Created 	Internal / Vendor 	Location 	Lead Researcher... 
 Across The Board-Growing Youth.pdf	Segment	HCDP	2024	Internal	Canada 	 Brian Yang  Gillian Fernandes
 Across The Board-Independence Seeker.pdf	Segment	HCDP	2023	Internal	Canada 	 Gillian Fernandes
 Across The Board-New To Canada.pdf	Segment	HCDP	2023	Internal	Canada	 Gillian Fernandes
 EAJ-Post Grad (Ahmad).pdf	Persona	EAJ	2022	Internal	Canada	 Joelle Girgis
 EAJ-Post Grad (Stephanie).pdf	Persona	EAJ	2022	Internal	Canada	 Joelle Girgis
 EasyWeb-Basic Essentials User.pdf	Archetype	Easy Web	2024	Internal	Canada	 Sina Azimi
 EasyWeb-Frequent User.pdf	Archetype	Easy Web	2024	Internal	Canada	 Sina Azimi
 EasyWeb-Loyal Advocate.pdf	Archetype	Easy Web	2024	Internal	Canada	 Sina Azimi
 EasyWeb-Multi-Bank User.pdf	Archetype	Easy Web	2024	Internal	Canada	 Sina Azimi
 EasyWeb-Newcomer Banker.pdf	Archetype	Easy Web	2024	Internal	Canada	 Sina Azimi

About HNW vs. Mass Affluent

High Net Worth

“ I want them to help me identify where my money is going to waste and where can I do things better...like when [my kid] took an uber from Waterloo to Kingston, I want to show them that this is what your finances are like and you need to do things properly. Put this much money away for rent and other stuff before you do that.

Key Characteristics

- **Time is Money:** Their time is valuable and they will pay others to manage and deal things for them.
- **Complex Financial Needs:** Needs are more complex not because they are more savvy with money, but due to the volume they have access to.
- **Social Networks:** They lean heavily on their networks to find and vet trusted relationships.

Core Needs

Ultra Convenience

- Their baseline expectation for experiences is ultra convenience.
- They will default to the ultra-convenient option available to them and they have the resources to make it happen for them.

Connecting an Ecosystem of Experts

- They have a high level of trust in their ecosystem of experts (ex. lawyers, accountants, business bankers); it takes some time for that relationship to be built because the tasks they offload to these experts are high stakes. In many ways these relationships become pseudo friendships (personal reciprocity).
- They offload domains of their lives to them and expect them to monitor, maintain, proactively manage and future-proof their wealth.
- They expect these experts to **deeply understand** their lifestyle, their work, and the main players in it (spouses, adult children, and other significant relationships).
- *“It’s been handled”* - style of relationship is their baseline expectation.
- Expectation that experts should coordinate and collaborate with one another and function with a high degree of independence.
- They are expected to loop in members of the family and other significant relationships. This includes wealth advisors, private bankers, accountants, lawyers, assistants etc.

Catering to Transnational Lifestyles

- Typically, live out of the country for part of the year (snowbirds) or travel frequently for leisure/work.
- Hold multiple citizenships and split their time in 2 or more countries. This has large implications on taxes and other financial transactions.
- Significant members of their families (parents, siblings, children) typically live all over the world.

Decreasing Cognitive Load

- They are happy to pay to offload responsibilities onto people.
- They can do a lot of these tasks on their own, but due to the complexity of their lives they choose to have someone else do it for them or streamline things for them. They prefer to have a monitoring/overseer role in the tasks they offload.

Top Challenges

Deeply understand the complexity of their financial needs

- Their financial needs are complex and the experts in their lives need to understand that complexity without being given a to-do list.
- They expect people to remember the details of their lives that they disclose, and make connections how that impacts other aspects of their life.
- When they offload responsibilities they expect these people to act as a trusted second pair of eyes.

Privacy and Confidentiality Concerns

- Their role and status privy’s them to confidential information that must be guarded.
- They do not want their wealth flaunted, and prefer to be discreet about it.

Succession planning and maintaining (personal) wealth

- There are many different options for what they can do with their wealth and how they pass it down. This is also closely tied to personal philosophies. They need help navigating the different options, legalities and policies.

Trust in Institutions

- They are wary to trust institutions outright because if something goes wrong, there is a lot to lose if they trust the wrong institution.

MA

HCD Research
June 2024

Mindsets

“Do it ourselves” mentality

- Feel guilty and conflicted as they cannot live up to their parents’ expectations for saving and minimizing debt due to external factors of financial stress (e.g., rising cost of living)
- Perception that advisor is not likely able to do much more than what they are achieving on their own, given their current resources

Focus

- Understanding alternative investments
- Life stage implications (e.g. strategies to save for and pay for post-secondary education, retirement)
- They know that there is still more to know - making the best and most effective choices for their wealth to grow right now

Experience Gaps

- Time - life is chaotic. Making choices where to spend time - will ignore information reach outs that are not hyper relevant to their needs in the moment
- Lacking access to personalized insights generated from AI /data mining to drive insights and conversations with advisor based on their context

Needs and Priorities

- Working with an advisor who has similar values and communication styles as them, understands their life experiences, and has empathy towards their financial situation
- Support in the building and protecting stage: may have endured difficult financial losses that have pushed them to seeking guidance
- Gaining insight into the role of an advisor and finding time to increase their financial confidence
- Establishing trust in the motives of the advisor
- Having a simplified and comprehensive view of their finances
- Support understanding how to actualize their goals as they juggle many priorities (e.g., how do I best manage my mortgage and save for post-secondary education?)
- Tracking performance of their self-directed management compared to advisor supported to determine long-term value
- Convenience: tend to not trust advisors or value making the time to meet them in person
 - react positively to online system that removes the human element from their investing experience (Fernandes, 2015)

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Proposal: what we initially wanted to learn

1

Understanding of Open Banking

Explore how users' understanding and mental models of Open Banking are the same or different amongst key segments. Determine how this can be implemented across Open Banking use cases.

2

How can Open Banking help

Determine how users structure their finances when banking with multiple institutions, what challenges they face when managing multiple banking products and services, and understand user needs that can/should be addressed through Open Banking solutions.

3

Beliefs, attitudes, and motivation

Uncover users' values and attitudes as they relate to Open Banking, and their assumed benefits and risks of participating. Determine what would motivate users to opt into, or opt out of, Open Banking use cases.

4

Security & privacy requirements

Understand users' safety and security concerns to determine how to help them feel more in control over their data.

Research Outcomes

The How

Expected outcomes & contributions

Insights derived from this research with **U.S. and Canadian participants** will be able to be **applied across journeys and platforms** to inform strategy and design of open-banking use cases.

Potential outcomes and contributions may include the following:



Establish new use cases for Open Banking that are grounded in user needs



Discover ways to enhance comprehension, manage expectations, and anticipate attitudes towards Open Banking to drive adoption



Identify archetypes of user groups with different needs and mental models relating to Open Banking so we can tailor solutions to them



Increase adoption and engagement by collecting user requirements for safety and security

Empowering journeys and platforms

The What

“ “ The foundational research is crucial to ensure the design for Open Banking is grounded in user needs, findings will enable us to better understand who we are designing for and make data driven decisions, it will be **essential for prioritization of features and to identify potential challenges and opportunities**. Research should shape our Open Banking solution.

Insights from foundational research will **provide direction** for several projects our team is working on including **SMB Marketplace, Wealth Marketplace, High Net Worth**.

Additionally, these insights could help **shape future work in Commercial Banking**.

Ana Hulshof
Commercial Banking Strategist

“ “ Foundational research on open banking and user mental models is critical in informing future state experiences for platforms like WebBroker and Easy Trade.

This becomes even more urgent when we look at gen z and millennial investors who are **flocking to Wealthsimple and other digital investing platforms where they mimic open banking features already**.

To future proof our business we need to develop more relevant value propositions for the next generation of investors and looking at open banking from a user's perspectives will help us with that.

Our team can leverage the insights from this research to **help develop north star visions of direct investing which will then translate into features and functions that we can launch into the market**

Robert Tu,
TDW UX Strategist

“ Foundational Open Banking Research is a critical need so that we can **understand the unique customer mindset when in the buying phase**. This part of the process hinges on customer comfort with commitment to our products and services. While working on the Fraud Mitigation Strategy sprint, we found several competitors within the US are far ahead of TD in this capability.

It became clear to us that this was a significant blind spot in terms of catching up with the market and ensuring we meet customer expectations. Not only could Open Banking improve our suite of fraud mitigation tools, but it could influence customer trust. Having research on Open Banking at hand to reference would enable us to design with greater confidence, **ensuring our solutions are aligned with current expectations and that our designs are future proof.**

Susan Juvet,
Buying Platform Design Manager

“ What I do love about this study, is to potentially learn about their views on privacy in general. Open banking would be a big part of that of course.

Knowing about **how they feel about big organizations seeing their other data, and understand their line in terms of value trade off will be huge.**

It will be easier to communicate the value prop of what we are trying to offer if we know what they currently know about open banking. We can then design experiences that make it **easier for them to connect accounts, and make sure they feel safe while doing so.**

Would love to know how they feel about interacting with other banks, fintech and stores on td properties and then how they'd feel about having TD data/ability to transact embedded on other websites.

Breena Gormley
SIJ UX Strategist

“ ...Open Banking is coming this year. Somebody's doing it, and we should be prepared to do it better...

...Most organizations don't have the luxury of doing generative research that they can rely on before creating experiences. They put their heads together and create an experience, and sometimes even test it, but they've already built a design.

The type of foundational research we do is a differentiator. The key is to put a foundation of evidence behind the experiences that we might want to create for Open Banking. TD has the opportunity with this type of research to get ahead and make the right decisions around the experiences we create right from the beginning.

Sue McCloskey
Principal Experience Strategist, EAJ

Ideal Methods for Addressing Key Questions

The How

Question	Suggested Research Method	
General Assessment Questions		
On average, how many FIs does the typical US/Canadian consumer bank with (e.g., deposit account, investment account, credit card, loan, mortgage etc.)? How does this differ based on age?	Knowledge harvest	User survey
On average, how many FIs does the typical newcomer/immigrant bank with overseas?	Knowledge harvest	User survey
How can Open Banking Help		
What sort of challenges do consumers face when they bank with multiple financial institutions? How does this differ in the US vs. Canada?	User interviews	
When managing multiple banking products and services, how do consumers attempt overcome these challenges (e.g., turn to fintech apps, develop a workaround etc.)?	User interviews	
What sort of challenges/friction points do consumers face when applying for a product or service at a new FI?	User interviews	
What can FIs do to make banking easier when a consumer banks with multiple financial institutions?	User interviews	
Beliefs, Attitudes, and Motivation		
What sort of experiences would motivate users to consent/permission to share their data? How does this differ in the US vs. Canada?	User interviews	Participatory design
Do consumers see value in the ability to share their financial information with a FI (e.g., FI account balances, transactions etc.)? How does this differ in the US vs. Canada?	User interviews	
Understanding of Open Banking		
How do users' mental models of what Open Banking is and how it works differ between the US and Canada? How does it differ for newcomers/immigrants?	User interviews	Participatory design

User Interviews

A form of data collection that allows researchers to ask people open-ended questions about their experiences.



Key Characteristics

- They are flexible and iterative in nature, and **are best suited for exploratory research questions.**
- Offers deep exploration of participant thoughts and experiences, as they are given the space to express their opinions, ideas, feelings, and attitudes.
- Gathers information from people who can provide insight on a particular topic.
- They often involve questions (or conversational exercises) that allow for participants to express their thoughts and feelings, while addressing the study's topic or area of focus.

Humans are conversational creatures, and through conversation we can get to know other people. Participants can reveal much more about the meanings they attach to their experiences, providing the interviewer with deeper knowledge than can be gleaned through other methods such as surveys.